OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

NORWAY

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JANUARY 1977

BASIC STATISTICS OF NORWAY

THE LAND

Area (1 000 sq. km)	324
Agricultural area (1 000 sq. km)	9
Productive forests (1 000 sq. km)	65
Major cities (31.12.75):	
Oslo	462 732
Bergen	213 434

THE PEOPLE

Population (31.12.75)	4 017 101
No. of inhabitants per sq. km	12
Net natural increase (average 1966-1975)	25 506
Per 1 000 inhabitants (average 1966-1975)	6.6
Civilian employment, 1975	1 694 000
of which: Industry (%)	34.3
Agriculture, forestry and fishing (%)	10.2
Other activities (%)	55.5

PRODUCTION

Gross domestic product in 1975 (millions of Kr.)	147 934
GDP per head ($)	7 050
Gross fixed capital formation (1975):	
Percentage of GDP	35
Per head, $	2 490

THE GOVERNMENT

Public consumption in 1975 (percentage of GDP)	17
General government current revenue in 1975 (percentage of GDP)	50
Composition of Parliament (No. of seats):	
Labour party	62
Conservative party	29
Centre (Agrarian) party	21
Christian Democrats	20
Liberal party	2
New People's party	1
Anders Lange's Tax Reduction party	4
Socialist Electoral league	16
Total	155

Last general election: 1973

Next general election: 1977

FOREIGN TRADE

Exports of goods and services as a percentage of GDP (average 1971-1975)	43
of which:	
Gross freight earnings (1971-1975)	14
Main exports in 1975 (percentage of total commodity exports) :	
Forestry products	8
Base metals and products thereof	19
Fish and fish products	5
Machinery, apparatus and transport equipment (excl. ships)	18
Imports of goods and services as a percentage of GDP (average 1971-1975)	46
Main imports in 1975 (percentage of total commodity imports):	
Ships (average 1971-1975)	12
Machinery, apparatus and transport equipment (excl. ships)	26
Raw materials (non-edible) incl. fuels and chemicals	21
Base metals and products thereof	12

THE CURRENCY

Monetary unit: Krone

Currency units per US $, averages of daily figures:	
Year 1975	5.225
November 1976	5.269

NOTE An international comparison of certain basic statistics is given in an annex table.

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NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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The annual review of Norway
by the OECD Economic and Development Review Committee
took place on 17th December, 1976.
The present survey has been updated subsequently.

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INTRODUCTION

1976 has been a crucial year for economic policy-making in Norway. Faced with the problem of inflation and, by Norwegian standards, high unemployment (1.6 per cent), the authorities opted in the autumn of 1975 for a strategy of combining demand and employment-supporting measures with co-ordinated prices and income policies, an approach which differed from that followed in most other Member countries. The implementation and results of this policy are discussed in Part I of the present Survey which also analyses the deviations between the initial official 1976 outlook and the preliminary outcome.

The policy objectives for 1977, as stated in the National Budget, remain essentially the same as in 1976. As the economy is foreseen to move closer to the full employment level, monetary policy has been shifted into a more restrictionary direction while fiscal policy has again been designed to boost private disposable income. The implications of this policy mix for the budget balance and monetary developments are discussed in Part II together with the general outlook for demand, output, the foreign balance and inflation. The main conclusions and policy recommendations to be drawn from this analysis are presented in Part III. A list of major policy events and measures is given in the Annex to this Survey.

I 1976 POLICIES AND RESULTS

A *The Economic Background*

When decisions on the main lines of economic policies for 1976 were taken in the autumn of 1975, the outlook for the Norwegian economy was characterised by conflicting trends. Domestic demand was still rather weak[1] and exports—as known by then—showed only little signs of buoyancy. The tapering-off of the expansion of total demand was reflected in rapidly deteriorating labour market conditions. At the same time, however, cost pressures remained strong with inflation continuing to accelerate. On the other hand, it was reasonable to assume that the expected international upswing would make itself progressively felt on the Norwegian economy and that from around mid-1976 onwards a self-sustained (export-led) recovery could well get under way.

1 The investment boom of 1974 continued into 1975, but with a marked slowdown in the course of the year. According to official estimates, manufacturing investment in real terms fell from the first to the second half of 1975, and private consumption, following a strong upsurge, also showed some weakness towards the end of the year. In the three months to October, 1975, the volume of retail sales increased by 2½ per cent (s.a.a.r.), while the advance during the previous three months had been around 8 per cent (s.a.a.r.).

B *The Targets of Economic Policy*

The orientation and general thrust of economic policy in recent years has differed significantly from that in most other OECD countries. Rather than accepting higher rates of unemployment as an unavoidable consequence of anti-inflationary policies, the Norwegian Government continued to attach the highest priority to the maintenance of full employment, trying to curb inflation by other means than general deflationary measures. The comprehensive incomes policy approach adopted and pursued by the authorities has been greatly facilitated, if not encouraged, by the prospect of rising oil sector external surpluses and the related boost to government revenue. Consequently, neither the sharp increase in the current foreign deficit in 1975 and its continuation in 1976, nor the weakening of public sector financial balances were considered as constraints on the freedom of choice in economic policy-making. The National Budget for 1976, presented to Parliament in October 1975, therefore embodied or suggested measures—partly of a selective and temporary nature—to support total demand and employment, pending the event of an export-led self-sustained upswing. At the same time, the authorities stressed the need for reducing the rate of price and wage inflation and for improving the competitive position of the traditional export and import-competing industries[2].

Fiscal policy

The co-existence of strong cost-push inflation and relatively weak labour market trends provided an almost ideal setting for a combined incomes and demand management policy approach consisting of expansionary tax and subsidy measures to support private real income growth and serving at the same time to moderate wages and prices[3]. Since compensatory tax measures to dampen wage claims could most effectively be offered in the context of the general spring wage negotiations, the combined fiscal-incomes policy approach was implemented in two stages:

— to support employment, the budget passed in the autumn of 1975 provided a general tax cut as well as a large number of selective and temporary measures[4]; furthermore, to prepare the ground for a moderate wage settlement in the spring, the budget also made provision for possible further tax reliefs;

— following the conclusion of the general wage negotiations in which the Government had played a major role, the Revised National Budget presented in March, 1976 contained a number of additional measures[5]: an adjustment of tax schedules to moderate the effects of progression (fiscal drag) mainly for lower and middle income groups[6], a reduction in employers' social security contributions, an extension to the end of 1976 of the temporary increase in food subsidies enacted in connection with the index settlement in 1975, and a general increase in pensions and family allowances.

2 According to official estimates the growth differential between Norwegian unit labour costs and that of major trading partners widened from 4 percentage points in 1974 to 6 percentage points in 1975.

3 Such an approach has been followed on earlier occasions, most recently in the context of the general wage indexation round during the autumn of 1975, when a moderate rate of compensation was agreed upon in return for temporary tax reductions and increases in subsidies and a general three months price freeze.

4 For details see Annex on Chronology of Main Economic Policy Events.

5 The provisions of the tripartite agreement are discussed pp. 16-20.

6 The adjustment consisted of an increase in tax exemptions as well as a reduction in tax rates.

As further discussed below, the tax and subsidy measures were aimed at, and succeeded in, raising average real disposable wage incomes by some 3 per cent, at the same time entailing a substantial reduction in the public sector budget surplus (before loan transactions). On a full year basis the tax reductions introduced in 1976 amounted to Kr. 3.1 billion (compared with a hypothetical outcome at unchanged 1975 tax schedules), equivalent to some 2 per cent of GDP. As a result, the growth in total revenue decelerated to some 12 per cent (from around 19 per cent in 1975), in spite of increases in certain excise taxes (alcoholic beverages and tobacco) and a considerable rise in revenue from the oil sector[7]. At the same time, transfers, in particular to farmers and pensioners, advanced at a very rapid rate, and both gross and net taxes declined in terms of GDP. Since the rise in expenditure on goods and services also accelerated, the surplus before loan transactions, which initially was expected to show only a small decline, actually fell by more than 2 per cent in terms of GDP. Allowing for the different multiplier effects associated with changes in the various budget items, and disregarding oil revenues, the discretionary effect of fiscal policy is officially estimated at 4.7 per cent of GDP (constant prices), compared with 3.5 per cent in 1975 (Table 1)[8].

Table 1 **The impact of discretionary changes in fiscal policy**[1]
Per cent change in terms of previous year's GDP, excluding shipping and oil sectors
Constant prices

	1974	1975	1976	1977
Direct taxes	0.7	1.1	1.0	1.0
Indirect taxes less subsidies	0.6	0.2	0.8	0.3
Public prices	−0.1	−0.2	−0.1	−0.2
Transfer payments	0.8	1.0	0.8	0.6
Expenditure on goods and services	1.3	1.4	2.2	1.8
Total impact	3.3	3.5	4.7	3.5
Memo item:				
GDP (excluding oil and shipping)	4.2	2.2	4.7	4.5

1 Official estimates as presented in the National Budget for 1977.
Source: National Budget for 1977 and earlier budgets.

Monetary policy

The credit budget for 1976, established in the autumn of 1975[9], was based on the assumption that expansionary fiscal policies and a strong export growth would generate a self-sustained upswing in the course of the year. Consequently, monetary policy was designed to support private demand during the first half

7 For 1976 the revenue is estimated at Kr. 2.8 billion, compared with Kr. 1.7 billion for 1975.

8 Since the official estimate of the impact of fiscal policy includes only revenue changes due to fiscal measures, it may be said to overestimate the effect on total demand and output, cf. Annual Survey of Norway, 1974. This was particularly evident in 1976, when foreign demand—an exogenous variable in the model used by the authorities—is estimated to have contributed 2½-3 percentage points to the growth of GDP, after allowing for multiplier effects and import or inventory leakages.

9 The credit budget, presented as an integral part of the National Budget, sets out the overall domestic and foreign credit supply on the basis of estimates for total private and municipal investments and the share to be financed out of current and past savings.

and to shift towards restraint in the latter part of the year. To achieve the basic objectives of this strategy it was considered necessary to maintain easy monetary conditions, at least during the winter of 1975/76, but at the same time avoid an excessive build-up of financial assets which would risk delaying the effects of subsequent more restrictive policies.

Based on the official income and demand outlook, gross wealth formation in 1976 (i.e. real and financial investments) was initially estimated to increase by some 10 per cent. Assuming a marked increase in the self-financing ratio of the private sector including municipalities[10] from 35 to 40 per cent, recourse to external finance was expected to remain unchanged at its 1975 level, but with special attention given to certain sectoral aspects[11]. Major revisions of the likely development of the self-financing ratio—mainly in response to the weak trend in export prices—and of the projected external deficit, led to important changes in the credit supply target in the course of 1976, without affecting, however, the basic policy approach. In the spring the permissible total credit supply for 1976 was raised about 5 per cent, and later—in the autumn—increased by another 10 percentage points.

As a result, overall financial conditions remained easy throughout most of the year. For the first ten months, the broadly-defined money supply[12] expanded at an annual rate of some 18 per cent, or somewhat more than nominal income growth (Table 2). The major source of monetary expansion was bank credits with both savings and commercial banks' lending to the general public increasing at rates clearly in excess of the official guidelines[13]. Central government transactions also contributed to money supply growth as the net acquisition of financial assets[14] exceeded the Government's financial surplus by a large margin and a sizeable part of its borrowing requirements[15] was met by capital imports. The liquidity creation due to domestic credit expansion was, however, to an important extent offset by substantial private sector purchases of foreign exchange.

As anticipated in the credit budgets, and signalled to the banking system earlier in the year[16], policies were shifted towards restraint around mid-year. Steps were taken to check the strong expansion of bank credits, but also to neutralise the liquidity effets of Treasury transactions, expected to be increasingly felt during the second part of the year. The major measures consisted of:[17]

(*i*) a reintroduction of and subsequent increases in reserve requirements for commercial and savings banks;

(*ii*) a tightening of bond holding requirements imposed on banks;

(*iii*) an increase in the discount rate (to increase the cost of bank borrowing).

10 Per cent of real investment financed out of current and past saving, cf. Table 8.

11 Special credit facilities were offered to industrial firms to assist the build-up of stocks of exportable goods and to accommodate the demand for larger operating credits. To support activity within the shipbuilding industry, additional financing possibilities on the Norwegian bond market were provided. Finally, to sustain activity in the sectors largely relying on state banks' credits—notably housing—the loan commitment quotas were increased significantly.

12 For a definition, see notes to Table 2.

13 Extension of present rates of growth implies an overshooting of the targets by 11 per cent.

14 In addition to state bank lending, this includes share purchases and transfers to Statoil as well as purchases of private debenture bonds (section 15 bonds) by the social security funds.

15 The borrowing requirement is defined as gross capital formation less gross saving plus net acquisition of financial assets.

16 By announcing in advance the increase in reserve requirements, the authorities had hoped to shorten the lag between the instrumental change and the effect on private bank lending.

17 For further details see Annex.

Table 2 **Indicators of monetary policy**

Money supply and change in money supply

	1973	1974	1975	1976[1]	1977[1]	1975 January/June	1975 July/December	1976 January/June	1976 last 12 months[5]
	Kr. billion (end of period)								
I *The money supply:*									
(*a*) Narrowly defined (M_1)[2]	31.1	35.1	40.6	—	—	37.0	40.6	44.2	—
(*b*) Broadly defined (M_2)[3]	70.3	78.0	89.8	105.4	121.6	82.6	89.6	96.8	—
	per cent increase during periods, at annual rates								
II *Change in the money supply by source:*									
(*a*) Change in M_2	11.8	11.0	15.1	17.4	15.3	12.4	18.2	16.2	16.0
(*b*) Contributions									
1 Central Government	0.2	0.2	5.2	11.2	12.6	3.1	5.8	9.3	9.8
(*a*) Current account	−6.0	−6.1	−4.9	−1.4	0.1	−5.5	−3.6	−4.3	−1.2
(*b*) Lending transactions	6.2	6.3	10.1	12.7	12.5	8.6	9.5	13.6	11.0
of which:									
State bank lending	6.0	5.3	6.8	8.2	9.6	6.2	6.1	7.4	—
2 The banking system	9.2	10.3	13.1	10.7	8.1	10.7	13.8	12.0	13.7
(*a*) Commercial bank lending	3.8	3.7	5.0	—	—	6.2	3.3	7.5	—
(*b*) Savings bank lending	3.2	3.4	3.7	—	—	3.7	3.3	3.7	—
(*c*) Other[4]	2.2	3.2	4.4	—	—	0.8	7.2	0.8	—
3 Net sales of foreign exchange to the banking system	3.0	1.9	−2.4	−4.8	−5.5	−0.3	−3.7	−4.4	−5.5
4 Other sources	−0.6	−1.4	−0.8	0.3	0.1	−1.1	2.3	−0.7	−2.0

1 Official estimates and forecasts.
2 Notes and coins plus demand deposits plus unutilised overdraft facilities and building loans.
3 M_1 + time deposits.
4 Including acquisition of bonds and changes in overdraft facilities.
5 End of October.

Sources: Economic Bulletin of Central Bank and National Budget for 1977.

The influence of this policy shift has so far largely been confined to banks' "free primary reserves" which constitute the main operational target of the authorities. In fact, the reserve position of the banking system had already started to tighten earlier in the year, when considerable private foreign exchange purchases roughly offset the liquidity creation by the public sector. The expansion of bank credit, despite some deceleration, remained strong through the third quarter, pointing to the existence of long lags between changes in "net reserves" and actual lending behaviour in a system where banks have automatic refinancing facilities at the Central Bank.

In the light of this development the 1976 guidelines for bank credit will probably be exceeded by some margin even allowing for a further slowdown in bank lending during the remainder of the year. The link between policy shifts and changes in the overall money supply growth would seem to be even weaker than for bank credit. Indeed, even if private bank lending were sharply reduced during the last quarter of the year to reach the annual target, a marked acceleration of money supply growth would still result from the envisaged monetary financing of large public sector cash deficits.

C *1976 Outcome*

In the event, the policy targets of reversing the rising trends for both unemployment and the rate of inflation were largely achieved; importantly influenced by expansionary policies, the rate of unemployment has been falling throughout most of 1976 and the rate of inflation—assisted by incomes policy measures and weak foreign price developments—has been reduced in line with the official outlook. On the other hand, the current balance-of-payments deficit, instead of shrinking, continued to rise rapidly, mainly reflecting the fact that the actual composition of total demand deviated markedly from earlier forecasts:

(*i*) due to additional expansionary measures taken in early 1976 and unexpectedly high spending propensities of private households and enterprises, final domestic demand expanded at more than twice the rate predicted a year ago;

(*ii*) at the same time, the contribution to GDP growth from changes in the real foreign balance was smaller than forecast earlier, and, contrary to expectations, the overall terms of trade deteriorated for the third consecutive year.

In spite of stronger domestic demand, the growth of output fell 1-2 percentage points short of the predicted rate of 7 per cent, with the deficit on the current external account attaining a level of more than 11 per cent of GDP in current prices. GDP, excluding activities in the oil and shipping sectors, however, expanded in line with the predicted 4-4½ per cent rate[18].

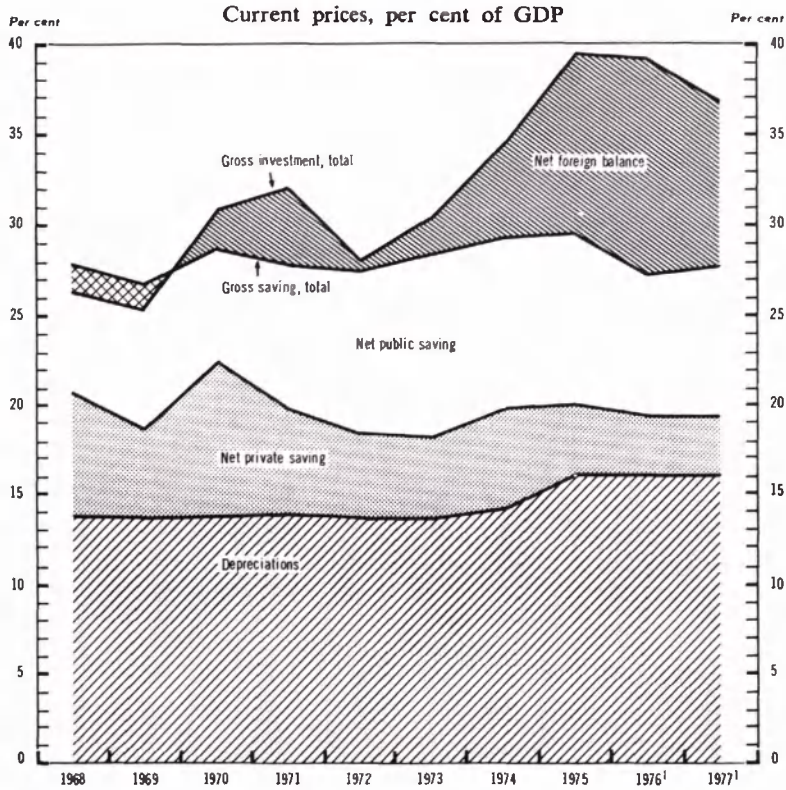
Remarkable strength of domestic demand

The single most important source of buoyancy in final domestic demand was the remarkable strength of household spending behaviour. Despite deteriorating labour market conditions and an inflation rate close to the 10 per cent mark,

18 In this context it is interesting to note that while total domestic demand and GDP have continued to rise at relatively high rates throughout the recent world recession, the development in industrial production (excluding the oil sector) has clearly reflected the deflationary impact from abroad. Thus the index for industrial production fell by more than 3 per cent from the second half of 1974 to the second half of 1975, and industrial output for the first half of 1976 remained more than 1 per cent below the earlier peak level.

consumption in real terms expanded by almost 6 per cent. Probably influenced by unusually easy credit market conditions, spending on durable goods was rising particularly strongly, with car purchases for the first 10 months if the year almost 25 per cent higher than for the same period in 1975. As a result, the private sector's savings ratio dropped by almost a full percentage point, despite a change in the income distribution in favour of non-wage incomes[19]. At a rate of about 5 per cent, net of depreciation (Table 3), the private propensity to save is low relative to saving patterns in other Member countries, and the marked rise in the share of income spent (Diagram 1), reflecting a high degree of confidence in the household sector, contrasts sharply with the hesitant spending behaviour generally observed elsewhere. It should be noted, however, that since the share of net private saving (Diagram 1) refers to the total private sector, it is subject to comparatively large year-to-year changes due to the volatility of profits. Thus, the relative decline in net private saving from 1974 to 1976 can probably to a

Diagram 1 **Saving and Investment**
Current prices, per cent of GDP



1 Secretariat estimates and forecasts.
Sources: National Budget for 1977 and OECD National Accounts.

19 While the share of wages in total factor income remained largely unchanged in relation to 1975, the increase in real disposable wage income was below that of the private sector as a whole. This development was mainly the result of a steep rise in incomes for pensioners and farmers, who probably have a higher-than-average propensity to save. At the same time, incomes in the company sector rose only moderately, which, as noted below, may have contributed to the decline in the overall savings ratio.

large extent be related to the falling income share of the company sector, and in particular to the slump in net freight earnings[20].

The advance in total fixed investment of 8 per cent—significantly outstripping the forecast rise of ½ per cent—owes much to factors of a rather unpredictable non-cyclical nature, but also reflects generally favourable business expectations. Investment in ships, which had been forecast to decline by some 50 per cent, actually rose by 23 per cent. Apart from an apparently longer-than-expected lag in the adjustment of investment to the weak freight market conditions, decisions, notably as regards sales of used ships, were probably also influenced by the credit facilities offered by the Guarantee Institute[21]. Investment in the oil sector, despite a steep decline in purchases of new oil rigs, also rose faster than predicted. Fixed capital formation in manufacturing and traditional mining has remained impressively high. In early 1976, when the general business outlook was still rather uncertain, firms revised investment plans considerably upwards and, despite some downward adjustments later in the year (Diagram 6) and technical delays in certain large investment projects, manufacturing investments in real terms remained slightly above the high level of 1975.

Capital formation in other private business also expanded at high rates, and public investment rose by almost 10 per cent. Residential construction, on the other hand, has been rather sluggish, with housing starts (measured in m^2) during the first 10 months running some 4 per cent below the level of the same period in 1975. The weak trend in starts has been particularly noticeable for housing units financed by private banks, possibly reflecting a gradual saturation in certain areas. Although likely to rebound towards the end of the year, total housing starts for the year as a whole may not attain the 1975 level, while completions should show a small rise. On this basis, residential investment may show little change, if any, between 1975 and 1976.

Some of the policy measures taken during 1975/76 aimed at supporting the level of output through favourable borrowing conditions for inventory formation. These measures succeeded in boosting stocks of finished goods in the second half of 1975 (Diagram 4), thereby cushioning the deflationary impact of the slump in exports. Following the general recovery of international trade and the related revival of demand for traditional Norwegian export goods, inventories have been reduced during the first half of 1976, but showed a small rise from the second to the third quarter, as the advance in world trade tended to slow down[22]. At the same time stocks of raw materials—to a large extent imported—have risen somewhat, while "work in progress", strongly influenced by work on large investment projects for the oil sector, has shown rather erratic movements. On the assumption of a further depletion of stocks of exportable goods during the last quarter of 1976, total stocks have been estimated to fall by Kr. 400 million in real terms, implying a negative contribution to GDP growth of around 1 percentage point.

20 Net profits in the shipping sector were actually negative in 1975 and probably also in 1976.

21 As mentioned in last year's Survey, a temporary guarantee institute—jointly run by ship and rig owners, the Government, and private credit institutions—was established in early December, 1975. The guarantees—initially limited to a total amount of Kr. 2 billion but later raised to Kr. 4 billion—can be given for loans covering interest payments, contracts entered or converted, and cancellation fees and lay-up costs. By the end of September, 1976, Kr. 2.3 billion had been committed.

22 By the end of the second quarter of 1976, total stocks—excluding "work in progress"—in industry and wholesale trade were down by 3½ per cent in relation to the peak level recorded in the third quarter of 1975, and for exportable goods the decline was almost 20 per cent. Between the second and third quarters, however, total stocks rose 2¼ per cent and exportable inventories 1½ per cent.

Little change in the real external balance

Despite the decline in inventories, total domestic demand has shown greater buoyancy than forecast a year ago. Even so, the growth of GDP in 1976 is almost certain to fall short of the predicted 7 per cent due mainly to three factors on the foreign trade side:

(*i*) following a strong recovery of traditional exports in the latter part of 1975 and early 1976[23], the general deceleration in world trade starting around mid-1976 has entailed a marked slowdown in the rise of Norwegian exports—notably for paper, pulp, fertilizers, and metals;

(*ii*) a number of technical problems kept production of oil and gas in the North Sea some 15 per cent below the predicted level[24], and net freight earnings in real terms also rose less than expected[25];

(*iii*) finally, changes in the composition of total demand in favour of goods with an above-average import content—notably investments in ships and in the oil sector—as well as an apparent worsening in the competitive position of certain domestic industries raised the elasticity of imports in relation to total demand to 1.3 compared with an elasticity of only 0.6 implied by the earlier forecast.

As a result, changes in the real foreign balance probably had a negative impact on the rate of growth of GDP in 1976, while official forecasts made a year ago counted on a contribution of as much as 3¾ percentage points. However, since most of the discrepancies between forecast and outcome were related to the shipping and oil sectors, average output of the other sectors rose in line with the forecast rate of 4-4½ per cent.

Slowly improving labour market conditions

Labour market developments during the past two years reflect the shift from weakness to relative strength in aggregate final demand, but the level as well as the time pattern of changes of labour market indicators (Diagram 2) has also been strongly influenced by a number of government measures, partly of a temporary nature, to support output and employment[26]:

(*i*) specific labour market measures introduced in late 1975 on average absorbed almost 10 000 workers from October 1975 to June 1976, suggesting that the average number of unemployed during this period might have been more than 40 per cent higher in the absence of such measures;

(*ii*) due to large increases in both central and local government consumption expenditure, the number of public employees rose by 3½ per cent, accounting for as much as 70 per cent of the overall rise in employment and raising the public share of total employment to almost 20 per cent;

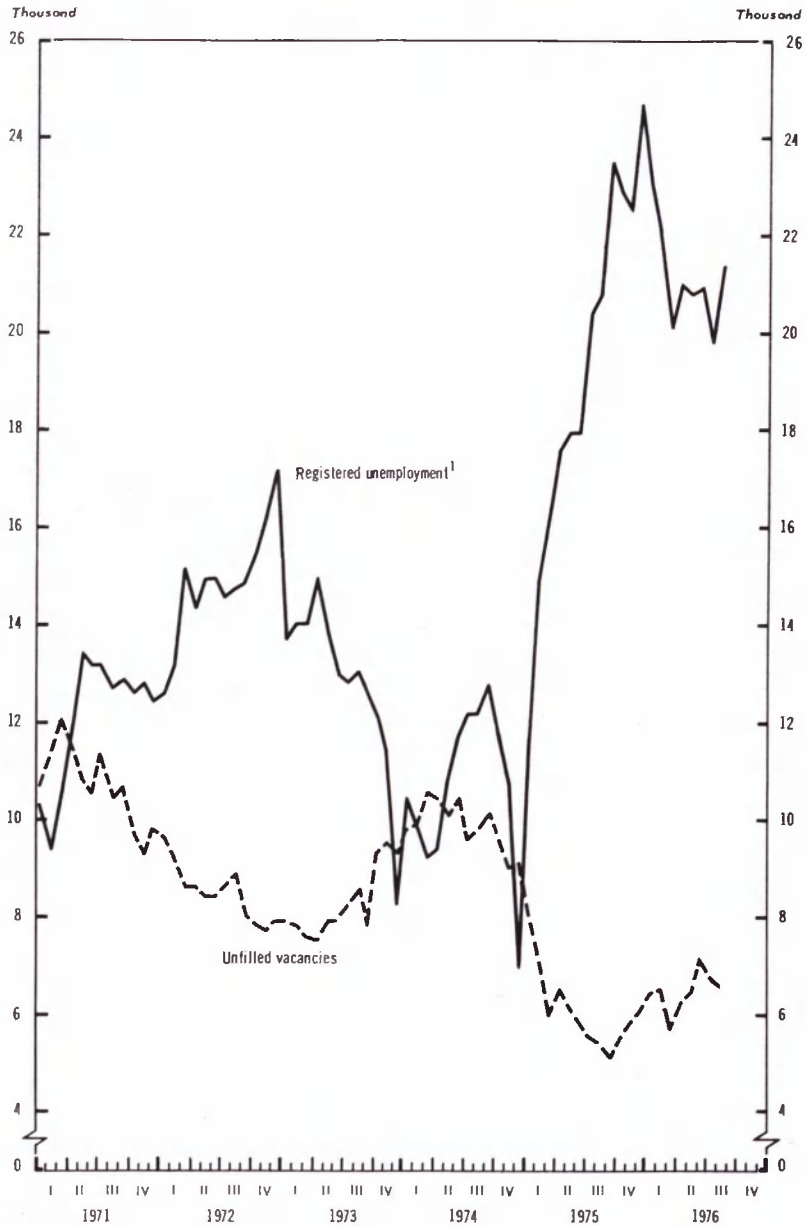
23 Between the first half of 1975 and the first half of 1976 merchandise exports excluding oil, oil platforms, and ships increased by 16½ per cent in constant prices.

24 The production shortfall is officially estimated to amount to Kr. 1.5 billion, compared with the estimate made a year ago. Due to a recent change in the statistical recording of exports and imports of oil and gas, the shortfall will be shown on the import rather than on the export side (see explanatory note to Table 11).

25 Due to the slump in the international freight market, gross freight earnings were largely unchanged in volume terms, while a rise of 3 per cent was predicted a year ago. At the same time, expenditure abroad in real terms fell by 1 per cent.

26 In this context it is relevant to note that due to the very low labour intensity in both shipping and oil production, the development in employment is mainly determined by GDP excluding oil and shipping.

Diagram 2 **Labour Market Developments**
Seasonally adjusted monthly figures



1 1973 figures are influenced by an estimated drop-out of 2 000 persons, formerly registered as unemployed, following the lowering of the retirement age as of 1st January 1973.

Source: OECD, Main Economic Indicators.

(*iii*) the expansion of public investment contributed importantly to the employment increase registered in the construction sector and the subsidies for stockbuilding—mainly in the export sector—have served to prevent a sharper decline in industrial employment than was actually recorded. Furthermore, though difficult to quantify, the generally stimulative measures introduced in the form of tax reductions have probably supported employment in a number of domestic sectors, notably wholesale and retail trades.

These measures have no doubt succeeded in curbing the rise in the unemployment rate during 1975 and early 1976. Their subsequent diminishing influence on the level of employment meant, however, that the improvement in labour market conditions during 1976 has been rather moderate, both compared with earlier recovery periods and in relation to other activity indicators. A gradual scaling down of labour market measures[27] and the depletion of stocks to meet the rise in foreign demand implied that total demand for labour during 1976 showed a relatively weak response to the marked acceleration of final domestic demand and exports. As a result, the average number of registered unemployed (s.a.) in October and November, although markedly below the high level at the beginning of the year[28], remained well above the average October-November level recorded for the 1970-74 period. At the same time, the number of unfilled vacancies has risen only slowly, amounting in November to only half the number of unemployed[29].

Rising current external deficit

The combination of rapidly rising domestic expenditure, weaker than expected demand for Norwegian exports, and a continued worsening in terms of trade, resulted in a sharp widening of the current external deficit from Kr. 13.3 billion in 1975 to an estimated Kr. 20.5 billion ($3.8 billion) in 1976— the equivalent of 12 per cent of GDP. Apart from unexpectadly large net imports of new ships, this deterioration of the foreign balance can be attributed to two main factors: the failure of the real balance on goods and services to improve in line with earlier expectations and the fact that export prices, instead of rising by 8½ per cent as initially assumed, have increased by no more than 1 per cent, entailing a 5 per cent deterioration in the terms of trade (Diagram 7)[30].

27 From affecting 14 000 workers in the first quarter of 1976, the scale of labour market measures was reduced to 8 000 workers in the second quarter.

28 By the end of December, 1975, the rate of unemployment had reached 1.6 per cent (s.a.), the highest rate recorded since 1963.

29 Another factor, possibly influencing the development in labour market conditions, was the cut in weekly working hours from 42½ to 40 with effect from 1st April, 1976. On a year-to-year basis this change *ceteris paribus* implied a reduction in average hours worked of 4½ per cent, and with the number of employed persons officially estimated to have grown by 1 per cent, total hours worked may have fallen by 3½ per cent. This in turn suggests that productivity—measured as GDP (excluding oil and shipping) per hour worked— has expanded by as much as 8 per cent. In the absence of data for total and average hours worked it is difficult to say to what extent the cut in working hours has been offset by a higher rate of productivity increase rather than by more overtime. It is, however, interesting to note that, in 1968, when the working week was reduced from 45 to 42½ hours, there was a subsequent level change in output per man hour which roughly corresponded to the cut in working time.

30 The impact on the trade and service balances of the two factors mentioned, as well as data revisions, can be summarised as follows (— deterioration + improvement against initial forecast):

Note continued p. 16 →

The sectoral distribution of the current account deficit between "mainland Norway" and her "offshore" sectors (Table 11) shows that the oil sector deficit was offset partly by a surplus in the shipping sector, leaving "mainland Norway" with a deficit of about Kr. 19 billion. Compared with 1975, the rise in the total deficit of some Kr. 7 billion was due to a continued reduction in the traditional surplus of the shipping sector, some further rise in the oil sector deficit, and a significant increase in the deficit of the other sectors. Reflecting the persistently depressed freight market, the surplus on the freight balance shrank for the second consecutive year and with large net imports of ships (due to prior contracting), the net surplus on goods and services of the shipping sector was bound to decline. For the oil sector both exports and imports showed strong increases, leaving its trade deficit roughly unchanged. However, due to rising interest and dividend payments, the oil sector contributed importantly to the increased deficit on the transfer account.

Given the existence of sizeable intra-sectoral trade and service flows and related current transactions with the rest of the world, it would be rather misleading to draw any firm conclusions from the level and shifts in sectoral balances as to the ultimate causes of the overall deficit. Obviously, the heavy current deficit incurred by "mainland Norway" with the rest of the world is to some extent influenced by its net deliveries of goods and services to the shipping and oil sectors[31]. Moreover, in a more indirect way, the additional activities in the oil sector and its related income effects (in particular public sector revenues) tend to raise the level of spending in Norway on home-produced as well as foreign goods and services. In this context it is interesting to note that if—as an illustration—the oil and shipping sectors were treated as part of the foreign sector (Diagram 3), the net external deficit of "mainland Norway" would be reduced to Kr. 3½ billion, and the major part of the overall deficit would show up as correspondingly weaker external balances of oil and shipping.

In spite of the sharp increase in the borrowing requirement over the past couple of years, the financing of the current account deficits has not posed any particular problems. In line with previous patterns, the major part of the deficit in 1976 was financed by long-term borrowing[32] and, as in 1975, the Government was a major borrower in international markets, roughly maintaining its "financing share". The basic balance deteriorated by some Kr. 2 billion, moving into a deficit of about Kr. 1.5 billion. Total foreign debt may, at the end of the year, have reached a level of Kr. 50 billion, corresponding to 30 per cent of GDP compared with a ratio of 23 per cent in 1975.

End of note 30.

Kr. billion

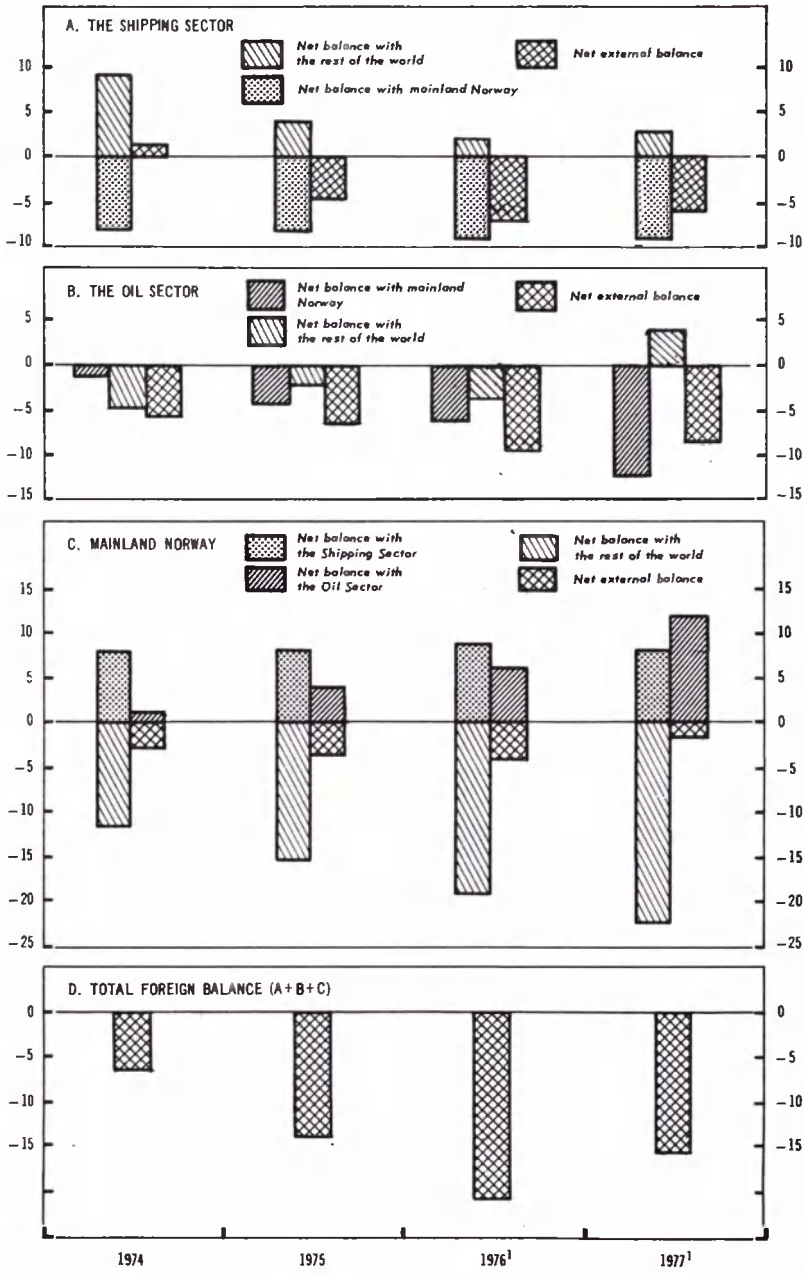
	Revision of 1975 data	Volume changes	Price changes	Total
Trade balance	+1.2	—4.8	—1.6	—5.2
Freight balance	+0.5	—0.8	+0.2	—0.1
Other services*	—1.2	—1.0	—0.4	—2.6
Total	+0.5	—6.6	—1.8	—7.9

* Other services include travel and oil exploitation services, of which the latter fell short of predictions by Kr. 1 billion.

31 For example, the production in a Norwegian shipyard of an oil rig for the oil sector would increase the import bill of "mainland Norway" due to additional purchases of raw materials.

32 The bulk of private capital inflows reflected borrowing related to the imports of ships and North Sea oil operations.

Diagram 3 **External Balances by Sector**



1 Secretariat estimates and forecasts on the basis of the National Budget for 1977.
Source: National Budget for 1977.

Table 3 **Private sector income and consumption**[1]
Current prices

	1974	1975	1976	1977	1975	1976	1977
	Kr. billion				*Per cent change*		
GDP	128.9	147.9	167.3	193.9	14.7	13	16
Depreciation	18.4	21.8	24.7	27.8	18.5	13¼	14
Transfers to abroad	2.3	2.8	5.2	7.4	21.7	85¾	42¼
Net national income	108.2	123.4	137.4	158.7	14.0	11¼	15½
Net taxes	32.9	37.8	39.7	48.2	14.9	5	21½
Private disposable income (Y)	75.3	85.6	97.7	110.5	13.7	14	13
Private consumption (C)	68.1	80.3	92.6	104.7	17.9	15¼	13
C/Y	0.90	0.94	0.95	0.95	+0.04[2]	+0.01[2]	0[2]

1 Secretariat estimates based on the National Budget for 1977.
2 Change in ratio.
Source: National Budget for 1977.

Moderating trends in incomes and prices

Reflecting a general slowing down in the rate of inflation and in particular sluggish export price developments, the advance of nominal GDP was somewhat slower in 1976 than experienced in earlier years—despite a faster growth of real output (Table 3). Since net factor incomes to abroad continued to rise rapidly, the slowdown of the growth in national income was even more pronounced. Nevertheless, private disposable income expanded more or less in line with past trends as total tax payments net of transfers remained virtually stable. Income gains were, however, rather unevenly distributed as between main sectors and types of income. Thus farmers and pensioners realised significant gains, while the advances for wage earners and in particular entrepreneurs in the "exposed" sectors were less strong.

Influenced by relatively weak labour market conditions and the tripartite index settlement in the autumn of 1975, the year-on-year rate of growth of wage-drift as well as contractual increases fell significantly between the first quarter of 1975 and the first quarter of 1976. While wagedrift continued at a moderate rate, total hourly earnings accelerated in the second quarter. This renewed upturn resulted from the general 1976 wage settlement which over and above a nominal wage increase of some 4 per cent provided for a full compensation of shorter work hours, corresponding to an average hourly pay increase of about 4½ per cent for 1976.

On the assumption that there probably has been no further acceleration over the year[33] average hourly wage rates in 1976 may turn out to be some 16-17 per cent higher than in 1975 after a 20 per cent rise a year earlier. However, due to an estimated sharp rise in productivity there has been a significant diminishing of wage cost pressures[34]. Thus between 1975 and 1976 the advance in unit labour

33 The relatively sluggish development in export prices, as well as the slow return to more normal labour market conditions, point to a continuation of moderate wagedrift as experienced during the first half of the year. Wagedrift may therefore not account for more than a fourth of the total rise in hourly earnings, while during most of the 1970s the contribution has been 40-50 per cent. A dampening influence should also result from the fact that there has been no automatic or semi-automatic cost-of-living adjustment in 1976.

34 Assuming that the reduction in the working week was fully reflected in actual hours worked, productivity (per hour) in manufacturing is estimated to have risen by 6½ per cent in 1976. Although somewhat below the estimated rate for the economy as a whole, this

costs in manufacturing was brought down from 21½ per cent to only 8½ per cent. As a result, and despite an effective appreciation of the Norwegian Krone, the difference between unit labour cost increases in Norway and her major trading partners[35], which had reached as much as 6 percentage points in 1975, was halved in 1976. At the same time, the advance in hourly earnings together with the cut in working hours produced a rise in average annual wage income of around 12 per cent. Taking into account the reduction in direct taxes and the estimated rise in consumer prices of some 9 per cent, the increase in average real disposable wage income amounts to approximately 3½ per cent, which is roughly in line with the official target rate[36].

Although real disposable wage incomes advanced at a faster rate than real national income, the share of wages in private disposable income fell in 1976. This development reflected mainly two factors, both of which were part of the tripartite agreement:

(*i*) following a five-year period of above-average income improvements, real pensions rose by as much as 6-7 per cent in 1976, or twice the rate recorded for the average wage earner;

(*ii*) nominal factor income in agriculture showed a spectacular rise of some 40 per cent after average growth rates during the early 1970s of no more than 9 per cent. This income growth was almost entirely a consequence of a steep rise in direct subsidies and considerable increases in publicly regulated food prices.

Table 4 **Consumer prices in selected OECD countries**

	Average year-to-year increase 1962-72	Percentage change during 12 months up to					
		Dec. 1973	Dec. 1974	Dec. 1975	Mar. 1976	June 1976	Nov. 1976
Norway	5.1	7.6	11.3	11.0	9.6	10.1	7.9
Denmark	6.0	12.5	15.5	4.3	9.0	7.7	12.8
Sweden	4.7	7.5	11.6	8.4	11.3	11.0	8.8
Finland	5.7	15.5	17.0	17.8	16.2	14.0	12.6
Austria	3.9	7.8	9.7	6.7	7.9	7.4	7.1
France	4.4	8.5	15.2	9.6	9.6	9.2	10.1
Germany	3.2	7.9	5.9	5.4	5.4	4.5	3.7
Netherlands	5.4	8.2	10.9	9.1	8.9	9.4	8.5
United Kingdom	4.9	10.5	19.1	24.9	21.2	13.8	15.0
United States	3.3	8.8	12.2	7.0	6.1	5.9	5.0
Japan	5.7	19.1	21.9	7.6	8.8	9.3	9.3
Total OECD	3.9	10.3	14.4	9.3	9.7	8.7	8.1
OECD Europe	4.5	10.3	15.1	12.3	10.3	8.8	11.0

1 1973 private consumption weights and exchange rates.
Source: OECD Secretariat.

figure would seem to indicate that some labour hoardings took place during 1975. On the other hand, it should also be noted that due to the lack of data for total hours worked, estimates for hourly rates of productivity increases are highly uncertain.

35 Based on calculations covering 9 major Norwegian trading partners, weighted by their shares in Norwegian exports and adjusted for exchange rate fluctuations vis-à-vis the Krone.

36 While it is difficult to say how wages might have developed in the absence of the combined settlement, it is interesting to note that due to the very high marginal tax rates and the wage-price links, a rise in hourly wages of as much as 50 per cent would have been required to realise a 3½ per cent gain in real disposable income.

Table 5 **Factors influencing price developments**
Contribution, per cent change from previous year

	Consumer price index			Price index for domestic demand		
	1975	1976	1977	1975	1976	1977
Impact from changes in:						
External prices[2]	1.8	2.3	2.3	5.1	2.6	2.5
Unit labour cost	3.5	2.1	1.3	6.0	3.7	2.5
Profit per unit of output	1.4	0.7	0.6	1.6	0.6	0.5
Publicly regulated prices[3]	4.2	4.0	3.6	2.5	2.1	1.9
Price subsidies	−0.5	−0.9	−0.4	−0.2	−0.4	−0.2
Indirect taxes	0.1	0.2	0.5	0.2	—	0.5
Other factors	1.0	0.8	0.6	0.3	0.7	0.5
Total	11.5	9.2	8.5	15.5	9.3	8.2

1 Official estimates and forecasts as presented in the National Budget for 1977.
2 Imports and domestically produced import-competing products.
3 Public charges and food prices.
Source: National Budget for 1977 and earlier budgets.

Profits and other capital income have increased only moderately though with rather uneven rates as between the various sectors. The continuation of relatively weak demand and price developments in traditional export markets points to only small income gains or even losses for a number of "exposed" industries[37]. On the other hand, profits seem to have developed quite favourably in several "sheltered" sectors.

The above income developments were clearly reflected on the price side (Tables 4 and 5). Due to the steep rise in farm incomes, food prices together with other publicly regulated prices pushed up consumer prices by 4 percentage points, accounting for almost half of the total rise. On the other hand, the price impact of wages fell strongly, notably the contribution to the deflator for domestic demand. The upward price pressure of rising profit margins (in the "sheltered" sectors) was also significantly smaller than a year earlier, and food price subsidies had a larger price restraining effect than in 1975. As a result, the year-on-year rate of increase in consumer prices decelerated to some 9 per cent[38]. During the year the slowdown was even more pronounced, as the rate of inflation fell to 7½ per cent (annual rate) between the two halves of 1976. The more stable behaviour of prices in the latter part of the year was, however, influenced by higher subsidies and a temporary (partial) price freeze introduced in the early autumn to hold the year-on-year price increase to a rate consistent with the presumptions of the tripartite agreement; hence, the recent deceleration exaggerates the progress so far made in reducing the underlying rate of inflation.

37 Residual income data for 1976 are still very preliminary, but it may be relevant to note that in 1975 total profits *fell* by about ½ per cent: profit incomes in the "exposed" sectors declined by 13 per cent and the shipping sector registered an actual loss of Kr. 1½ billion after net profits in 1974 of Kr. 2 billion.

38 The deceleration in prices is more pronounced when measured by the development in the deflators for GDP and domestic demand. However, as mentioned in last year's Survey, both deflators were strongly affected by price developments in the shipping sector in 1975. Since these influences were to some extent of a once-and-for-all nature, the deceleration registered in 1976 gives an exaggerated impression of the slowdown in the underlying rate of inflation.

II THE 1977 OUTLOOK

The official outlook, established in the early autumn and presented in the National Budget for 1977, is based on the assumption of a continued recovery in world trade and a related strong advance in exports of traditional goods[39]. Consequently, policies have been shifted in a less expansionary direction—especially monetary policy. All major final demand components are forecast to rise at a lower rate than in 1976 (Table 6). Anticipating some deceleration in the rate of growth of imports and a continued fall in the level of stocks, GDP (excluding oil and shipping) is expected to grow by 4½ per cent. Counting, in addition, on a sharp rise in exports of oil and gas

Table 6 **Supply and use of resources**
Constant prices

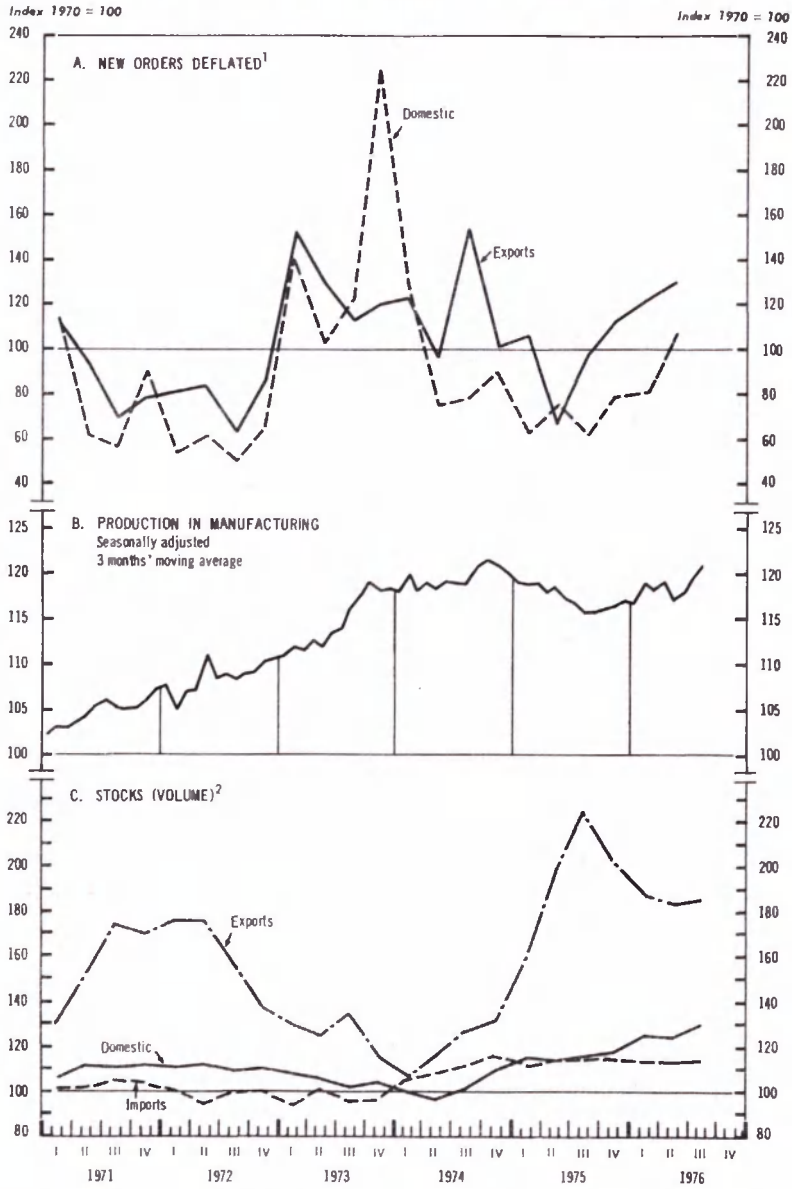
	Kr. bill.	Percentage change from previous year					
	1975	1974	1975	1976[1]	1977[1]	1976[2]	1977[2]
Private consumption[6]	80.3	3.3	4.8	5.8	4.4	5¾	4½
Public consumption[6]	25.1	4.2	4.5	5.9	4.4	5	5
Gross fixed asset formation	52.3	15.8	11.5	7.3	0.3	8¼	−2¼
Final domestic demand	157.4	7.3	7.5	6.3	3.1	6½	2½
Stock formation[2]	0.9	−1.9	−2.0	−1.0	0.1	−¾	0
Total domestic demand	158.3	5.4	5.5	5.3	3.2	5¾	2½
Exports of goods and services	61.4	0.5	1.2	11.2	15.3	8¼	13
Imports of goods and services	71.9	4.7	6.1	9.2	4.0	9	2
Gross domestic product	147.9	5.3	3.3	5.9	8.0	5	7¼
Net transfers and interest payments to abroad[3]	−2.8	−0.8	−0.3	−1.5	−1.2	−1½	−1¼
Gross national product	145.1	4.5	3.0	4.4	6.8	3½	6
Terms-of-trade effect[4]	—	−0.6	2.0	−1.7	−0.5	−2	−¼
Real national income[5]	—	3.9	1.0	2.7	6.3	1½	5¾
Memo items:							
GDP deflator	—	9.8	11.5	7.4	8.2	7½	8¼
GDP excluding shipping and oil	135.2	5.2	2.2	4.7	4.5	4	3½
Employment (man-year)	—	1.3	0.6	1.0	1.0	1	1
Labour productivity	—	3.9	1.6	3.7	3.5	3	2½

1 Official estimates and forecasts as presented in the National Budget for 1977.
2 Secretariat estimates and forecasts.
3 Changes are in per cent of previous year's GDP.
4 Calculated as the weighted and deflated difference between changes in export and import prices, the weights being the previous year's shares of export and imports in GDP and—in the case of a deficit country—the deflator being the export price index. The terms-of-trade effect thus reflects the change in resources available for domestic consumption and investment as a result of differential changes in foreign prices as well as differences in the levels of exports and imports.
5 Defined as volume change of GNP plus the terms-of-trade effect.
6 The figures for 1977 do not take account of the reduction in tranfers to public health institutions (cf. p. 25). Adjusted for this change, the predicted change in private and public consumption in 1977 would be respectively 2½ and 11 per cent.

Source: National Budget for 1977 and earlier budgets.

39 It is understood that this forecast is currently under revision and will probably show some downward adjustment.

Diagram 4 **Indicators of orders, Production and Stocks**



1 New orders in metal and engineering industries. The deflator used is the unweighted average of wholesale price indices for metals, metal goods and machinery and equipment.
2 Based upon a sample of industrial and wholesale trade firms.
Sources: Monthly Bulletin of Statistics and OECD Secretariat.

and some recovery in shipping, an overall GDP growth of 8 per cent is forecast together with an improvement in the current external account. As in 1976, measures aimed at a further reduction in the rate of inflation are closely associated with demand management policies. Thus the Government is proposing a consi-

derable cut in income taxes with the dual purpose of supporting private demand and holding down wage claims. On this basis, the authorities expect the increase in annual wages to decelerate to a rate only slightly above the prospective advance in consumer prices.

The Secretariat forecast is somewhat less optimistic than the official outlook, with regard to both domestic prices and output[40]. The unexpectedly marked slowdown of economic activity in most Member countries and recent deflationary measures taken by a number of important trading partners, suggest a smaller increase in traditional exports—notably in the second half of 1976 and the early part of 1977—and would also point to a lower rise in foreign prices. On this basis, domestic demand (Diagram 4) is also likely to rise at a slower rate[41] and the improvement in the current external balance may be less marked than envisaged by the Norwegian authorities. The following paragraphs discuss the policy stance adopted for 1977 and the short-term outlook for major demand and cost components, thereby noting main areas of uncertainties and risks.

Fiscal policy

On the face of it, central government budget plans for 1977 as well as official estimates of total public sector revenues and expenditure point to a considerable tightening of fiscal policy. The increase in total revenue may accelerate to 16½ per cent and with an expected slowing down to 11 per cent in the advance of transfer and subsidy payments, net taxes in per cent of GDP could rise by as much as 2 percentage points (Table 7). Expenditure on goods and services (in current prices) is predicted to increase by some 20 per cent, but even so the overall surplus before loan transactions is foreseen to go up by around ½ percentage point in terms of GDP, compared with a decline of 2½ percentage points in 1976. However, while the envisaged development in the public sector balance is consistent with the expected improvement in the financial position of the private sector and the predicted fall of the current external deficit, the activity impact of public sector transactions will be considerably more expansionary than changes in the aggregated budget items would suggest. Indeed, according to official estimates, discretionary budgetary changes including multiplier effects may raise real GDP (excluding oil and shipping) by some 3½ per cent, thus accounting for as much as 75 per cent of the expected total growth[42].

In this context it is relevant to note that the expected strong rise in oil production will boost total tax revenues without having any major restraining impact on the level of total demand and output. If oil revenues are disregarded, gross and net taxes in per cent of GDP are expected to decline, and the deficit before loan transactions may rise 1½-2 percentage points in terms of GDP (Table 7). The changes in the rules for taxation and transfer payments alone will provide a stimulus to private income equivalent to around 2 per cent of GDP (Table 1) or only slightly less than the 2.6 per cent estimated for 1976. To favour the achievement of a low general wage settlement next spring by "guaranteeing" a certain average increase in real disposable wage income, mainly through discretionary tax relief measures, the Government is proposing a number

40 This still seems to hold even after allowing for certain revisions of the official forecast consequent on the weaker foreign trade outlook.

41 A business tendency survey, taken in September and released after the publication of the National Budget, suggests that the business trend from the second to the third quarter of 1976 was weaker than generally expected—especially due to a sluggish development in the inflow of export orders—and that firms were less optimistic with respect to the future than they had been three months earlier.

42 However, as pointed out in Part I, the official measure may be said to overestimate the impact of budgetary changes as only part of the predicted revenue increase is considered.

Table 7 **Public sector income and expenditure**

	1975 Kr. Billion	Change in per cent from previous year			
		1974	1975	1976[1]	1977[1]
Total revenue	72.3	12.9	18.7	11.8	16.6
Indirect taxes	25.9	10.3	18.2	13.9	14.9
Social security	19.4	14.6	15.5	7.2	10.6
Other direct taxes	21.8	20.9	10.1	17.9	12.8
Other revenue[2]	5.2	−15.3	116.7	−7.7	72.9
Transfers	35.5	14.3	17.9	18.9	10.9
To households	23.7	11.6	15.6	16.9	6.5
Subsidies	8.5	16.8	25.0	21.2	16.5
Other transfers	3.3	30.6	17.9	27.3	26.2
Current expenditure on goods and services	25.2	18.2	18.3	13.5	21.3
Central Government[3]	12.3	18.4	18.3	11.2	14.1
Municipalities	12.9	18.0	18.3	16.1	28.2
Net investment	7.5	7.5	19.0	24.1	20.0
		Kr. Million			
Surplus before loan transactions	4.1	3 246	4 095	795	1 525
Central Government[4]	5.5	4 792	5 528	2 014	2 795
Municipalities	−1.4	−1 546	−1 433	−1 219	−1 270
		Per cent of GDP			
Memo items:					
Gross taxes	72.3	47.3	48.9	48.0	47.9
Transfers	35.5	23.4	24.0	25.1	23.8
Net taxes	36.8	23.9	24.9	22.9	24.7
Expenditure on goods and services	32.7	21.4	22.3	22.5	23.3
Surplus (before loan transactions)	4.1	2.5	2.8	0.5	0.8
Surplus (before loan transactions) excluding oil and shipping sectors	3.0[5]	2.4	2.2[5]	−0.7[5]	−2.4

1 Official estimates and forecasts as presented in the National Budget for 1977.
2 Including outstanding tax payments.
3 Including social security.
4 Including capital transfers to public enterprises.
5 Secretariat estimates.
Source: National Budget for 1977 and earlier budgets.

of tax changes[43] to take effect from 1st January, 1977. Together with recent adjustments in municipal taxes[44] these measures lower revenues by some Kr. 2 billion, equivalent to a 1¾ per cent rise in real disposable income[45]. On the assumption that nominal wage increases do not add more than ½ percentage point to the advance in real income, additional tax cuts—already included in the total revenue

43 For details see Annex.
44 Exemptions for municipal taxes were raised by 20 per cent earlier in 1976.
45 In this context it should be noted that the Government is also proposing higher indirect taxes with effect from 1st January, 1977, and a rise in the social security tax of 1.2 percentage points as from 1st May affecting employers currently subject to the highest tax rate (15.8 per cent). The proposed tax increases should raise revenues by Kr. 900 million and together with higher fees on a number of publicly produced goods and services, increase the general price level by around 1½ per cent, thus dampening the expansionary impact of the reduction in personal income taxes.

figures presented in Table 7, but only to be specified in connection with the anticipated tripartite agreement in the spring—would then push up the rise in real disposable wage income to the guaranteed 2½ per cent rate[46].

While the impact of changes in net taxes is significantly more stimulative than indicated by total revenue figures, the increase in expenditure on goods and services (in constant prices) will be only slightly above that recorded last year despite a strong acceleration of outlays in current prices. This somewhat paradoxical outcome is mainly due to a change in the recording of certain public health expenditures, which for 1977 artificially inflates the level of public spending, especially for local governments[47]. Adjusted for this change and taking also account of some acceleration in the public sector deflator, the rise in public consumption (constant prices) is predicted to attain 5 per cent, while the increase in investment will be 6 per cent, compared with 9 per cent in 1976. Allowing for multiplier effects and taking account of changes in the composition of outlays, the envisaged development in spending entails a GDP increase of 1¾ per cent for 1977 as a whole (Table 1), but with a likely strong deceleration from the first to the second half of the year.

Monetary policy

The adopted anti-inflationary strategy of reducing cost push and curbing the wage-price spiral through fiscal relief measures has enhanced the role of the monetary authorities in maintaining a reasonably restrictive overall stance of demand management policies. However, despite the recent tightening of credit policies, control of monetary development is complicated by two factors:

(*i*) the stimulative policy pursued until mid-1976 led to a large build-up of liquidity inside and outside the banking system. Given the lags with which restrictive measures are being felt, credit market conditions are likely to remain rather easy well into the early part of 1977[48] even allowing for a continued liquidity loss to abroad;

(*ii*) large loan commitments incurred by state banks in the course of 1976 together with other public lending activities will lead to a significant increase in the central government borrowing requirement and a large expansion in total money supply, if not offset by other measures.

To implement its policies, the authorities are mainly relying on reducing the availability of credit to the private sector[49 50]. The preliminary credit budget for 1977 (Table 8) envisages a decline in the flow of lending by 7-8 per cent, as compared with a rise of 20 per cent in 1976. This credit supply target, which will be subject to periodic reviews, is based on the assumption of a decline in the savings deficit of the private sector and an approximately unchanged financial

46 The official forecast is based on the assumption that average annual wages and consumer prices will rise by respectively 9 and 8½ per cent.

47 From 1977 grants-in-aid payments from the social security sector to public health institutions will be reduced, and since such payments are recorded as private consumption in the national accounts the reduction of the reimbursement rates will lower private consumption and implicitly raise that part of health expenditures which is recorded as public consumption.

48 As noted in Part I the increase in aggregate money supply (M_2) probably accelerated from the first to the second half of 1976.

49 While the recent increase in the discount rate at unchanged bank lending rates was an attempt to reduce banks' incentives to expand lending, more active use of interest rates as an instrument to curb demand for loans will probably only be applied to a very small extent.

50 Special borrowing facilities for sectors adversely affected by weak export demand are, however, extended into 1977.

Table 8 **Investment, credit supply and credit demand**
Private and municipal sectors, current prices

		1973	1974	1975	1976[1]	1977[1]
		Kr. Billion				
I	Factors determining total credit demand:					
	(*a*) Real investment	30.3	40.1	48.3	54.1	58.6
	(*b*) Financial investment	11.1	9.7	12.9	17.4	18.5
	(*c*) Total investment (a + b)	41.4	49.8	61.2	71.5	77.1
	(*d*) Gross saving	22.6	28.5	29.5	33.8	41.7
II	Total credit demand:					
	Total credit supply (c — d)	18.9	21.3	31.7	37.7	35.4
		Per cent				
III	Components of credit supply	100.0	100.0	100.0	100.0	100.0
	(*a*) Net foreign credit	22.0	35.4	34.1	35.0	13.8
	(*b*) Net domestic credit	78.0	64.6	65.9	65.0	86.2
	Supplied by:					
	(*i*) Commercial and savings banks	29.6	36.0	32.8	29.0	21.3
	(*ii*) State banks	26.9	28.2	26.7	30.2	33.1
	(*iii*) Non-financial intermediaries	8.2	9.2	6.8	6.5	4.8
	(*iv*) The bond market	10.4	14.7	12.6	15.5	14.6
	(*v*) Other sources[2]	24.9	11.9	21.1	18.8	26.2
IV	*Memo item:*					
	Self-financing ratio[3]	37.6	46.9	34.4	30.3	38.2

1 Official estimates and forecasts.
2 Including credits to Statoil and changes in tax arrears.
3 Per cent of real investment financed out of current and past saving.
Source: National Budget for 1977.

Table 9 **Development in financial balances**
Kr. billion, current prices

	1974	1975	1976	1977
Private sector:				
Gross investment	34.1	40.9	48.7	47.9
Gross saving	22.9	23.5	27.8	31.3
Saving surplus	−11.2	−17.4	−20.9	−16.6
of which: shipping sector	1.5	−4.3	−6.9	−5.4
oil sector	−5.6	−6.3	−9.7	−8.0
"rest of Norway"	−7.1	−6.7	−4.3	−3.2
Public sector:				
Gross investment	10.2	12.3	14.4	16.6
Gross saving	14.5	16.4	14.5	16.9
Saving surplus	4.4	4.1	0.2	0.6
of which: Central Government[1]	4.8	−5.5	1.6	2.0
Local Governments	−0.4	−1.4	−1.4	−1.4
Total saving surplus:				
Surplus on current balance of payments	−6.8	−13.8	−20.7	−16.0

NOTE Secretariat estimates and forecasts on the basis of the National Budget for 1977.
1 Including social security.
Source: National Budget for 1977.

balance of the municipal sector (Table 9). Moreover, private and municipal financial investments are expected to rise by only 6-6½ per cent—compared with almost 35 per cent in 1976—falling considerably below the rate of increase foreseen for total private and municipal saving. This in turn means that the share of real investments financed out of current and past savings is assumed to rise from 30 to 40 per cent, implying an absolute decline in the estimated need for borrowed funds[51].

In order to restrain the overall credit supply the authorities are aiming at a more-than-proportionate reduction in foreign borrowing. This may call for general measures to reduce the reliance on borrowing from abroad, even though the likely decline in shipping and oil sector investments will be accompanied by lower capital imports. With foreign borrowing expected to be reduced by more than 50 per cent, domestic credit supply is foreseen to increase at a faster rate than in 1976. However, given the expansion of public loan commitments mentioned above, a large part of the domestic credit supply is already "absorbed" and the share accorded to private banks and lending institutions is estimated to decline from about one-half in 1976 to only one-third in 1977[52]. A particularly large reduction is foreseen for commercial and savings banks as the credit supply targets are some 10 per cent below those set for 1976.

The central government loan transactions will not only impose constraints on the distribution of domestic credit supply but may also necessitate the introduction of special measures to prevent liquid bank reserves and money supply from increasing at "excessive" rates. Despite a likely increase in the financial surplus (Table 9) loan transactions will raise borrowing requirements of the central government to a level equivalent to 6½ per cent of GDP and would, at unchanged bond purchases by the banking sector, lead to a significant increase in banks' liquid reserves. To ensure consistency between the development in such reserves and the targets for net lending without resorting to higher primary reserve requirements over extended periods[53], the authorities are envisaging a considerable rise in public bond purchases by private banks and other credit institutions[54]. However, since bond rates are relatively low, subject to control, and hence inflexible, the incentive for private banks to increase their bond portfolio is rather small, and it may, therefore, be necessary to raise the compulsory bond holding requirements to achieve the desired development in bank reserves.

While such measures would restrain the rise in bank liquidity and thereby reduce the scope for new lending, central government transactions would still have a large direct expansionary impact on aggregate money supply (M_2). Thus the envisaged borrowing requirements would *ceteris paribus* increase M_2

51 To some extent the restrictive credit budget target for 1977 has also been influenced by the expectation of a decline in the demand for consumer credits following the release of blocked savings accounts in the course of the year. However, since the owners of such accounts, which in earlier years were deductible in taxable income, will have the option of extending the contracts, the effect of this measure is somewhat uncertain.

52 The advance in central government loan transactions is partly related to a strong rise in planned lending to the state-owned oil company "Statoil".

53 As pointed out in earlier Surveys, the liquidity position of banks is the principal operative target for the Central Bank, and adjustments in primary reserve requirements are used as an instrument for implementing the credit supply target and for creating more stable money market conditions. Variations in the ratio for compulsory bond holdings, on the other hand, are mainly for longer-term adjustment. To better enable the authorities to neutralise large and unforeseen changes in money market conditions—such as those created by currency interventions—the Central Bank will introduce a short-term credit certificate in early 1977. The certificates will have a variable interest rate and will only be tradeable between banks.

54 The projected rise in bond purchases by private banks is also due to the weakening financial position of the Public Pension Fund, which in earlier years has acquired a considerable share of the public bond issue.

by 12-13 per cent compared with an estimated 11 per cent for 1976. The contribution to money supply growth by private bank lending is expected to be held down to some 8 percentage points, while the liquidity absorbing effect of the foreign deficit—i.e. the current deficit less non-bank private net foreign borrowing—is likely to rise considerably in 1977 (Table 2). In total, M_2 may increase by some 15 per cent, less than in 1976 and less than the predicted advance in nominal GDP. It should be noted, however, that in periods of large deficits on the current external balance, the development in M_2 is difficult to control and hence to predict, as it is importantly influenced by the extent to which the current account deficit is actually being matched by private capital imports and domestic credit supply targets adjusted to unforeseen development on the balance-of-payments side.

Incomes policy, wages and prices

While the general wage settlement concluded in the spring of 1976 was in principle covering a two-year period, the replacement of the traditional indexation clause by a general agreement to "re-open negotiations after one year and decide upon wage adjustments for the second contract year in the light of the current economic situation and the development of prices and wages during the first contract year" effectively made it a one-year settlement. Thus the 1977 outlook for wages and prices will depend importantly on the outcome of the next general wage round. As in 1976, the authorities are aiming at a tripartite agreement, with the tax reductions embodied in the budget constituting a major part of the guaranteed rise in real disposable wage income.

Although hourly wage increases in manufacturing of 10½ per cent[55] would not be out of line with recent trends (which are, however, heavily influenced by the shortening of working hours) nor with the likely development in labour market conditions, it cannot be excluded that stronger wage pressures may be building up in the course of next year. According to official estimates, the rise in real national income would accelerate to 7½ per cent in 1977, of which 4½ percentage points may accrue to the public sector due to higher net taxes, mainly in the form of increased revenues from the oil sector. Consequently, private disposable income (including the enterprise sector) could expand 4¾ per cent[56], implying that, with a likely rise in employment of 1 per cent, the "guarantee" increase of 2½ per cent in average real disposable wage income (Diagram 5) will lead to a reduction of the wage share[57]. Considering also the substantial real income gains granted farmers and pensioners in 1976 and proposed for 1977, there may be a risk of an intensified "inflationary" income distribution struggle either during the general income bargaining round or subsequently in the form of local and individual catching-up efforts[58].

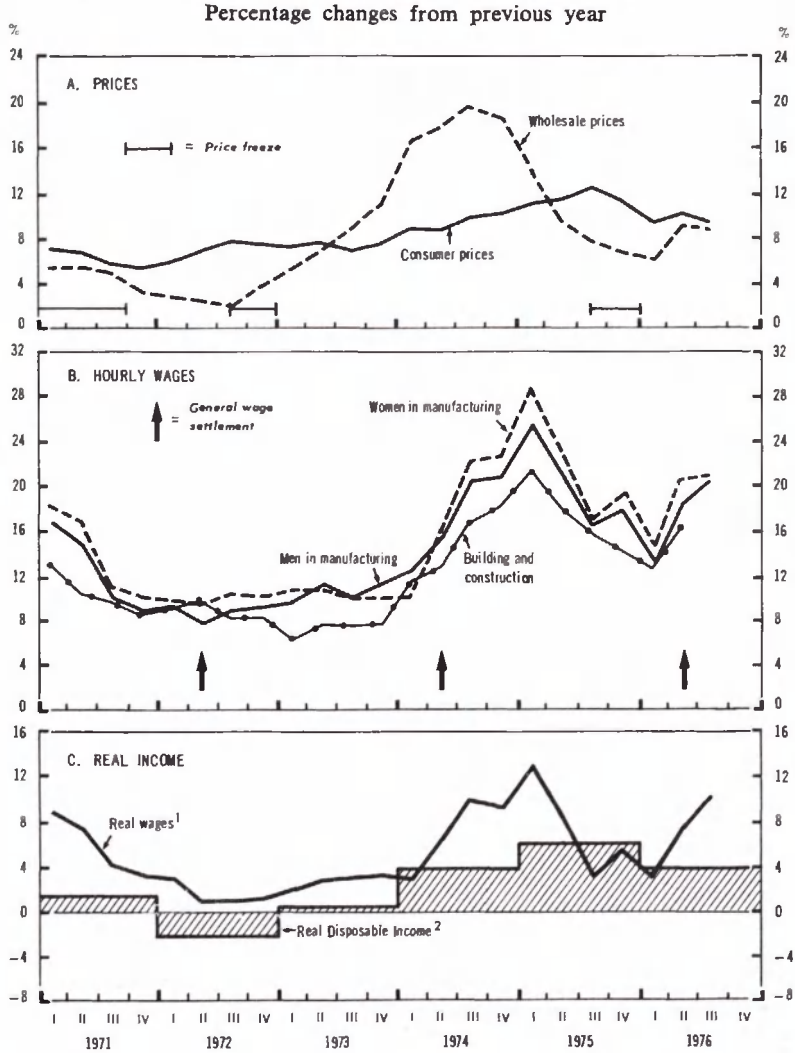
55 As noted above, the official forecast is based on the assumption of a 9 per cent rise in average annual wage income for workers in manufacturing, but with average hours worked expected to decline by 1½ per cent, this assumption would correspond to an advance in hourly wage rates of 10½ per cent.

56 The share of private disposable income in total national income is around 70 per cent.

57 According to Secretariat forecasts the rise in total real national income may be only 6-6½ per cent, and the possible changes in the income distribution discussed above will be correspondingly smaller.

58 As discussed in earlier Surveys, wage claims during the early 1970s seem to have been importantly influenced by the demonstration effects of sharp rises in transfer incomes. The unprecedently high increase granted farmers could well exert a similar influence on wage claims. Moreover, those income groups which did not obtain the guaranteed rise in disposable income in 1976 are likely to demand higher than average pay increases in 1977.

Diagram 5 **Price and Wage Developments**
Percentage changes from previous year



1 Hourly wages for men in manufacturing deflated by the consumer price index.
2 Estimated average year-on-year change in real disposable income for a middle-income group (couple with two children earning Kr. 50 000 in 1975 and Kr. 60 000 in 1976).
Sources: Monthly Bulletin of Statistics and National Budget for 1977 and earlier.

Against this background it seems that domestic cost pressures may increase more than officially foreseen. Indeed, with hourly wages estimated to have increased by as much as 16-17 per cent in 1976, the "carry-over" into 1977 amounts to almost 5 per cent, leaving relatively little room for wagedrift and new contractual increases for the official wage forecast to be met. On the other hand, the present trend in world prices suggests that the rise in export prices in 1977 may be rather weaker, entailing the risk of a further worsening

in the comparative cost position of Norwegian firms[59] but also the possibility of some dampening influence on wage claims. As pointed out in earlier Surveys[60] —and in line with the EFO-Aukrust model for inflation in small open economies[61]—the development in export prices has a statistically significant impact on wages[62]. On balance, however, the advance in hourly wage rates is likely to exceed the official estimate of 10½ per cent by some margin, thus increasing the pressure on consumer prices. Furthermore, it seems reasonable to expect some re-acceleration of prices following the expiration of the temporary partial price freeze at the end of 1976. On the other hand, with a likely smaller rise in import prices than forecast by the authorities and assuming continued high food price subsidies (to be determined in the context of the next income settlement), there may be reasonably good prospects for keeping the year-on-year advance in consumer prices to the officially forecast rate of 8-9 per cent.

Domestic demand

If the above wage and price predictions turn out to be true, private disposable income would rise by some 4-4½ per cent between 1976 and 1977 with gains, however, being rather unevenly distributed as between the various types of household incomes. For the second consecutive year, pensioners and especially farmers will receive advances in income significantly above average. This, together with a likely rise in "forced saving"[63] and less favourable credit market conditions, might lead to a rise in the savings ratio. On the other hand, the tax reductions proposed by the Government are particularly favourable for low income groups[64], and the general income settlement in the spring will probably show an egalitarian profile. Since households in low income brackets traditionally consume a higher than average share of their disposable income, this would tend to stimulate consumption, and the release of blocked savings accounts can be expected to have the same effect. On balance, the overall savings ratio may therefore change little, suggesting that private consumption would advance at a rate of 4-4½ per cent in 1977.

The upswing in total fixed investment, which—disregarding import leakages and multiplier effects—contributed some 2 percentage points to the rate of growth of GDP in 1976, after almost 4 points in 1975, can be expected to lose further momentum with sectoral differences becoming even more pronounced

59 If the official wage assumption is met and the shorter average working week is reflected in a higher rate of productivity increase (per hour) the advance in unit labour costs in Norwegian industries would be around 5-6 per cent. According to Secretariat estimates, unit labour costs (measured in local currency) in manufacturing for the seven major OECD countries may increase by the same order of magnitude, but in this context it is relevant to note that, if present exchange rates remain unchanged, the Norwegian Krone would effectively appreciate 5 per cent between 1976 and 1977.

60 See OECD Economic Survey of Norway, 1975.

61 See Kierzkowski, Henryk: "Theoretical Foundations of the Scandinavian Model of Inflation", *The Manchester School,* 1976; Aukrust, Odd: "PRIM I: A Model of the Price and Income Distribution Mechanism of an Open Economy", *Review of Income and Wealth,* 1970; Edgren, G., Faxen, K.O.; and Odhner, C.E., *Wage Formation and the Economy,* Allen & Unwin, 1973.

62 An acceleration in export prices has been found to push up the rate of wage increase—either immediately or with some time-lag—while a fall in the rise of export prices has correspondingly restraining effects.

63 The sharp rise in automobile purchases in 1976, which to a large extent was loan-financed, will tend to raise the share of income used for amortization payments in 1977, assuming that spending on new automobiles rises less fast than disposable income.

64 According to official estimates a household (with 2 children) earning Kr. 30 000 in 1976 should eceive a real income gain of 2.9 per cent in 1977, while a household (same size) earning Kr. 120 000 in 1976 will see a rise of only 1.5 per cent.

(Table 10). The expected completion of certain large investment projects, as well as the more restrictive stance of monetary policy and the relatively low level of profits, notably in the exposed sectors, are likely to dampen investment activities. It should be noted, however, that with a rising share of fixed capital formation in the oil and shipping sectors[65], the uncertainties attaching to short-term investment forecasts tend to become greater. Due to the capital-intensive nature of production and the dominating influence of large projects, the actual implementation of investment plans in the oil and shipping sectors is subject to large, frequent and generally unpredictable short-run changes. For similar reasons the level of investment is largely independent of both the sectoral and the total levels of output in the short run, and owing to a very high import and/or inventory content, fluctuations in oil sector and shipping investments have a relatively small impact on the overall level of activity in Norway[66].

Table 10 **Gross fixed asset formation by sector**

	1975 Kr. bill.	Per cent change (volume) from previous years			
		1974	1975	1976[1]	1977[1]
Oil sector	8.5	55.5	27.8	13¼	−2
Manufacturing	7.4	31.0	11.6	0	−1
Dwellings	8.1	−0.8	6.9	−1	−½
Shipping	6.9	−32.6	14.1	23	−27
Public sector	6.9	5.3	3.8	9½	6¾
Central government	2.2	4.4	4.4	12	2
Local Governments	4.7	5.7	3.5	8	8
Other industries		4.9	8.5	7½	6
Total	52.3	7.5	11.0	8¼	−2¼
Total excluding oil and shipping	36.9	7.9	7.8	4¾	3½

1 Secretariat estimates and forecasts based on the National Budget for 1977.
Source: National Budget for 1977 and earlier budgets.

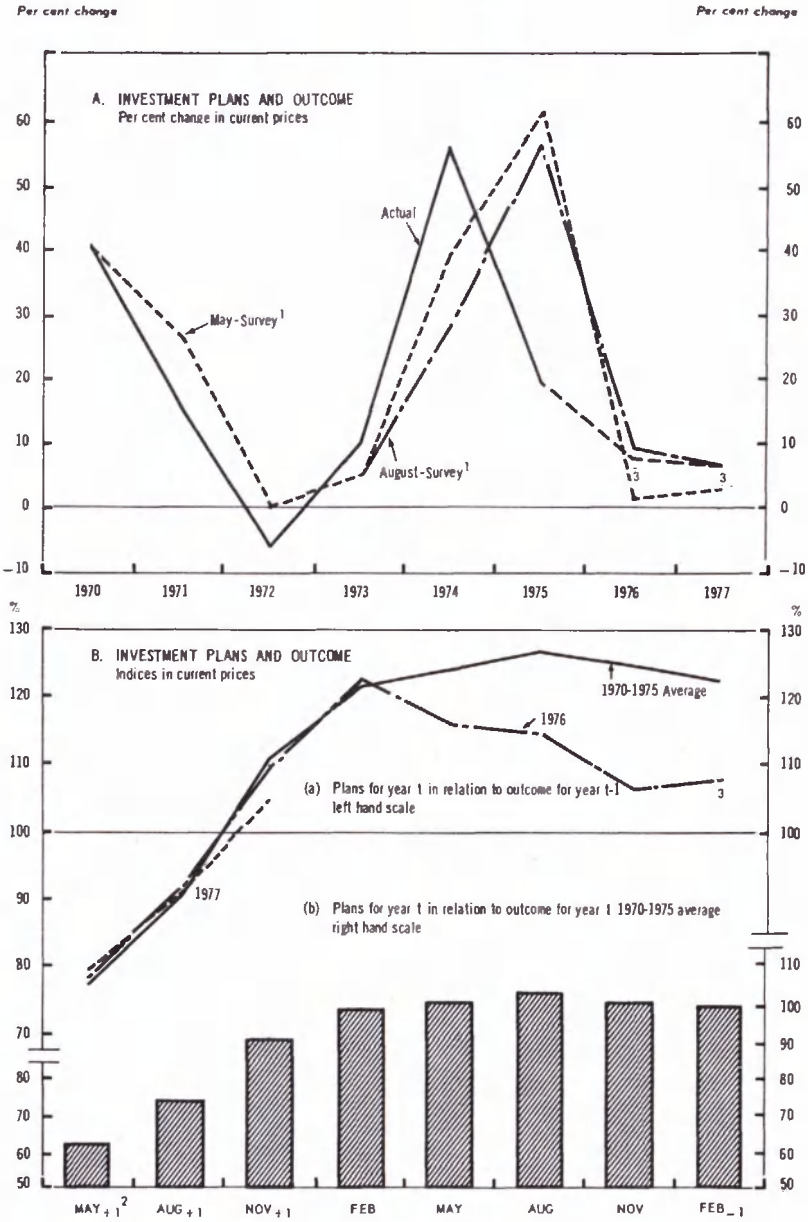
In 1977, oil sector investments will be affected by an unfavourable outlook for drilling services, which is likely to reduce purchases of new oil rigs and will probably also induce sales to abroad of used rigs. On the other hand, according to an investment survey taken in November, current plans for investment in the oil production sector point to an increase of 80 per cent (current prices) in relation to the level anticipated for 1976[67], suggesting that the official estimate of around 2 per cent increase (constant prices) may well be on the low side. In the light of the persistently bleak outlook for the shipping sector—notably for tanker services—investment in new ships can be expected to decline substantially, while exports of used ships—influenced by the presently very low prices

65 By 1976 the share had risen to some 30 per cent.

66 Because of a long production time for ships, oil rigs, and platforms, the actual recording of fixed investment will often be accompanied by a substantial reduction of "work in progress" or in the level of imports. Moreover, investments in ships and oil rigs have in recent years been strongly influenced by sales of used ships and rigs to abroad, which are recorded as a negative investment (and as exports) but of course leave total activity unchanged.

67 Installation of an oil platform in the Statfjord field will account for a major share of total oil sector investment.

Diagram 6 **Investment in Manufacturing and Traditional Mining**



1 Investment plans for year t + 1 as recorded in year t in relation to investment plans for year t as recorded in year t − 1.

2 The subscripts denote whether the investment survey leads or lags the year of investment.

3 Secretariat estimates and forecasts.

Source: Weekly Bulletin of Statistics.

for ships and the credit facilities provided by the Guarantee Institute—are likely to fall, limiting the overall decline in shipping investment to perhaps some 25 per cent.

The November investment survey for manufacturing and traditional mining points to a relatively weak trend for 1977 (Diagram 6): investment plans (in current prices) for 1977 are only 2½ per cent higher than plans for 1976 established twelve months earlier, and the upward revision from a survey taken in August was smaller than those registered during the previous two years. With the investment deflator predicted to advance by some 7½ per cent, and taking account of the unsettled international upswing, investment in real terms would show little or no rise[68], even if some upward revisions in spending plans in the course of the forecast period take place[69].

Other private non-residential investments can be expected to advance at a high rate, influenced by the construction of new power plants and likely buoyant agricultural investments in response to high income gains in 1976 and good prospects for 1977. On the other hand, the weak trend of residential investment may well continue into 1977. As noted above, the development in housing starts has been sluggish during 1976, and the tighter stance of monetary policy is bound to have a dampening effect on that part of the housing sector—some 25 per cent—which is mainly financed by private bank lending. Consequently, completions could fall by about 10 per cent and, and even allowing for improvements in quality, the officially forecast increase of 3-4 per cent in residential construction would seem difficult to realise.

With all major components likely to decelerate, final domestic demand may expand at only half the rate estimated for 1976. Moreover, considering the presently high levels of stocks of finished goods, part of the rise in final demand will probably be met by a depletion of stocks, suggesting that inventory formation may contribute very little to the expansion of total demand[70]. Nevertheless, total output is likely to accelerate markedly between 1976 and 1977 as the external balance in real terms may show an improvement equivalent to more than 4 per cent of GDP.

Foreign trade, total output and employment

The real foreign balance is expected to improve on account of likely developments in the oil and shipping sectors, which will affect both sides of the trade balance. Exports of oil and gas should show a substantial increase[71] and could reach as much as 30 per cent of total merchandise exports. Moreover, consider-

68 It should be noted, however, that the outlook for 1977 is importantly influenced by the completion of a large project in the petro-chemical industry, suggesting that investment activities in other industrial sectors will show a marked rise in relation to 1976.

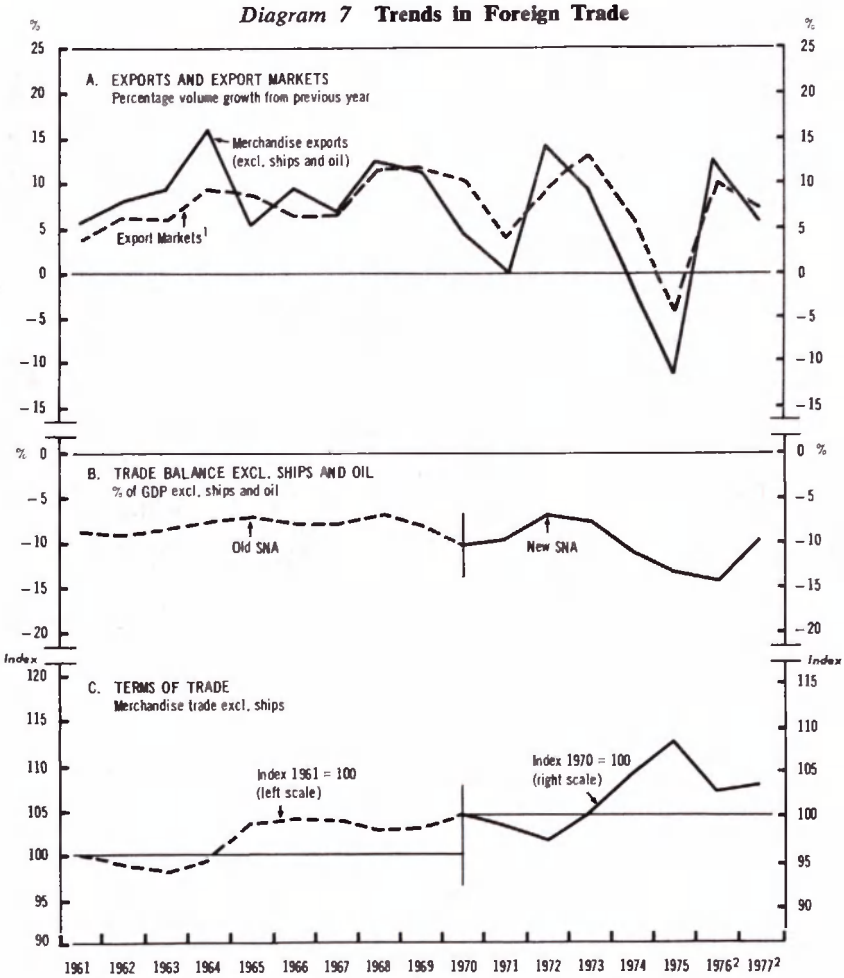
69 A survey conducted by the Federation of Norwegian Industries covering manufacturing firms with a total market share of around 45 per cent indicates a decline in investment plans (current prices) for 1977, as compared with the estimated outcome for 1976. Allowing for a certain upward revision during 1977 and an investment deflator of some 7½ per cent, this survey would also suggest a rather flat trend in real capital formation.

70 The overall development in stocks will be influenced by a number of factors: the completion of large investment projects will probably reduce "work in progress", and stocks of finished exportable goods are also likely to fall. On the other hand, stocks of imported materials and notably consumer durables can be expected to rise. All in all, some net replenishment of inventories should occur in the course of 1977, but in view of the large destocking during the first 9 months of 1976, average inventories may be somewhat lower than the estimated level for 1976.

71 The most important reason for the predicted large rise in exports of oil and gas is the opening of the gas line to Emden in Germany, scheduled for early 1977.

ing the presently very high lay-up rates for Norwegian vessels[72] and recent improvements in freight rates, net freight earnings, although remaining far below earlier peak levels, may show some increase. On the other hand, exports of new ships and oil rigs, reflecting the effect on foreign investments of the slump in international shipping and oil exploration activities, are likely to remain unchanged following a substantial decline in 1976. At the same time, however, the predicted fall of Norwegian investments in ships and in equipment for the oil sector will have a significantly restraining effect on total imports.

Diagram 7 **Trends in Foreign Trade**



1 The year-on-year growth of export markets is calculated as the growth which would occur in a country's exports if it exactly maintained its share in total OECD exports to each market.

2 OECD estimates and forecasts.

Sources: National Budgets and OECD Secretariat.

72 By the end of October, 1976, 18½ per cent of the Norwegian fleet lay idle, and for oil tankers, the lay-up rate was as high as 31½ per cent.

The development of trade in traditional goods and services will probably follow more "normal" patterns, with only a small net effect on the level of activity. As noted in Part I, traditional exports rebounded sharply in the second half of 1975 and the early part of 1976, and a large part of the market share losses incurred during the 1974-75 international recession has been recuperated (Diagram 7). However, with growth in world trade predicted to decelerate strongly, the rise in Norwegian export markets may slow down to perhaps some 5 per cent between 1976 and 1977, i.e. to half the estimated rate for 1976. Since the turnaround in the international stock cycle, a major factor behind the earlier recovery in foreign demand[73], has largely been completed and the relative cost position of Norwegian exporters does not seem to be particularly favourable, merchandise exports are unlikely to expand faster than (country) markets. On the other hand, recent developments in imports as well as some likely further loss in competitiveness of Norwegian firms would point to the risk of market share losses on the domestic market and consequently to a relatively high import elasticity. Hence, imports of traditional goods have been forecast to rise by about 8 per cent, or more than twice the predicted increase in final domestic demand.

Due to the foreseen large swing in the real external balance, the rise in total GDP might attain some 7 per cent. However, since the expansionary impact from the current account is almost entirely related to the oil and shipping sectors, the expected rise in output for the remaining sectors will be only 3½ per cent, or somewhat below the estimated rate for 1976. Since the capacity utilisation rate is high by international comparison, the rate of productivity increase is unlikely to show the above long-term trend development as in most other Member countries. This would permit an employment rise of approximately the same order as in 1976, i.e. 1 per cent. Assuming that participation rates increase in line with past trends, such a development would be accompanied by a gradual improvement in labour market conditions. Even though the present level of unemployment is still high by past standards, certain sectors may be faced with labour shortages, especially if the outflow of labour from agriculture diminishes as a result of the very substantial income gains for farmers.

Foreign trade prices and current balance

On the basis of the present Secretariat outlook for world trade and given the recent weakening price trends for a number of internationally traded goods, both export and import prices are likely to rise at moderate rates in 1977. However, considering that prices for a number of exported raw materials registered a marked decline in 1976 and with the slump in freight rates likely to have bottomed out, average export prices may show some acceleration from 1976 to 1977. The increase of import prices, on the other hand, can be expected to decelerate to a rate slightly below that of export prices. Taking account of the difference between export and import levels this development would imply a worsening of the trade balance as well as the current balance of payments. Nevertheless, in view of the likely substantial rise in exports of oil and gas, the combined trade and freight balance can be expected to improve significantly, but sharply growing net interest and transfer payments to abroad may hold the decline in the current deficit to Kr. 3-4 billion (Table 11). As a result, the current external deficit may attain some Kr. 16 billion in 1977, equivalent to 8 per cent

73 As noted in last year's Survey, raw materials and intermediate goods normally account for some 40 per cent of Norway's merchandise exports (excluding oil and ships).

of GDP. Given the favourable medium-term outlook of the balance of payments, Norway would probably not encounter any problems in financing a current deficit of this size.

Table 11 **Current account of the balance of payments**

	Kr. bill.				Per cent change			
					1976[1]		1977[1]	
	1974	1975	1976[1]	1977[1]	Volume	Price	Volume	Price
Exports, fob	34.9	37.8	43.3	54.5	11½	3	17½	7¼
Crude oil	0.5	3.4	7.1	15.0	90	10	95	8
New ships and platforms	2.0	4.6	3.7	4.0	−25	8	0	9
Used ships	4.1	2.9	2.6	2.4	−12	0	−8	0
Other merchandise	28.3	26.9	29.9	33.1	10	1	5	5½
Imports, cif	50.7	56.6	67.1	71.7	11	6¾	1	5
Equipment for the oil sector	4.7	6.4	9.8	9.2	39	10½	−15	10
Ships	5.0	6.6	8.3	6.8	13½	10	−22	5
Other merchandise	41.0	43.6	49.0	55.7	6½	6½	8	4½
Trade balance	−15.8	−18.8	−23.8	−17.2				
Of which: Merchant fleet	−0.9	−3.5	−5.7	−4.4				
Freight balance	11.2	8.7	8.6	8.7				
Gross freight earnings	19.2	16.6	17.0	17.7	¼	2	3	1
Expenditure abroad	8.0	7.9	8.4	9.0	−1	7	1	6
Services, net	0.2	−0.4	−0.3	−0.1				
Transfers, net	−2.4	−2.8	−5.2	−7.4				
Current account	−6.8	−13.3	−20.7	−16.0				
Of which:								
Oil sector	−4.6	−2.1	−3.6	3.8				
Shipping sector	9.3	4.0	2.0	2.6				
"Mainland Norway"	−11.1	−15.2	−19.1	−22.4				

NOTE The statistical recording of oil and gas production has been changed since the opening of the pipeline to Teesside (in late 1975). Now, all production is recorded as exports and the part of total production delivered to Norway is registered as imports. Compared with the earlier procedures, this change will, for a given level of production, raise exports and imports by the same amount.

1 Secretariat estimates and forecasts on the basis of the National Budget for 1977.

Sources: National Budget for 1977 and Monthly Bulletin of Foreign Trade.

III CONCLUSIONS

When the Norwegian economy was reviewed a year ago, the official demand outlook for 1976 was considered rather optimistic. Against this background, the economic performance of Norway over the past twelve months has been quite satisfactory. Major deviations from policy targets occurred only in the balance-of-payments area where a smaller than expected upturn in world trade and export prices, together with a slower rise in oil production, led to a further widening of the current external deficit to a level of more than 12 per cent of GDP—a figure which should be interpreted, however, in the light of the special circumstances related to oil sector activities. On the domestic side, the close co-ordination of fiscal stimuli and active price and incomes policy measures succeeded in moderating wage cost and price pressures and at the same time in accelerating real GDP growth to a rate consistent with an improvement in labour market conditions.

The official outlook presented in the National Budget for 1977 is based on the policy assumption that the strategy of tax cuts and subsidies as instruments of supporting domestic demand and dampening nominal pay claims will be continued and that tighter monetary conditions will serve to prevent the development of excess demand pressure. On this basis and counting on a relatively strong rise of traditional exports as well as a doubling of oil and gas production, the growth of total output is officially forecast to attain 8 per cent and the current deficit in terms of GDP expected to decline by 3 percentage points. The advance in unit labour costs in manufacturing industries has been anticipated to slow down further. Even so, the rate of inflation as measured by the rise in the consumer price index is predicted to be only marginally lower than its 1976 average, pointing to some reacceleration after the expiration of the partial price freeze at the end of this year.

The Secretariat is in broad agreement with the official forecasts as far as the expansionary impact of fiscal policy and the underlying strength of domestic demand are concerned, but is less optimistic on the export side. However, even allowing for repercussions of a weaker world trade picture on some domestic expenditure components, the differences in the overall demand/supply outlook are not so large as to call for policy changes. Given the fall in unemployment during 1976 and its present very low level by international comparisons, it would in any case seem appropriate to attach high priority to a further reduction in the still high rate of inflation. Cautious demand management policies—combining a gradually diminishing fiscal stimulus with a tighter stance of monetary policy—will be required to prevent the development of sectoral supply bottlenecks and labour shortages. Past experience suggests that excessive labour market pressures, even if localised, tend to lead to increased wagedrift which is difficult to reduce by other means than general demand restraint.

Although Norway's price performance in 1976 and that expected for 1977 should not give rise to complacency, it is important to bear in mind that, after a marked deterioration of the country's external competitive position in 1974 and 1975, cost and price developments have now been brought more into line with average trends in other industrialised countries, and that this adjustment has been achieved without submitting the economy to a serious recession as was typically the case in many other Member countries. Indeed, as discussed in previous Surveys, incomes policy has for a long time enabled the Norwegian authorities to operate the economy on a higher and more stable level of activity than would otherwise have been possible. The last two years have seen further moves towards a comprehensive tripartite income bargaining approach which has no doubt been instrumental in reversing the rapidly accelerating price-wage spiral. The policy experience of trading off reduced nominal wage rises against a fiscal boost to real incomes has so far shown that success depends crucially on two prerequisites. First, that trade unions are willing to accept lower taxes as a compensation for lower nominal wages, and second, that the implied fiscal stimulus does not lead to excess demand pressure and consequent wagedrift. Given the relatively subdued level of activity at the beginning of 1976 and the close co-operation between the Government, the two sides of industry and the farmers' associations, these conditions were satisfied in 1976.

Although incomes policy has so far been rather successful and a continued co-operation between the various interest groups should lead to a better co-ordination of competing income claims in the future and help to reduce the inflationary consequences of income distribution struggles, there are some features in the tripartite agreements which point to problems both in the short, and even more so, in the medium term:

(*a*) if past wage behaviour patterns are still valid, there would seem to be a risk that the very substantial income gains granted (or to be granted) to farmers in 1976 and 1977 could lead to higher wage claims. In the past, claims tabled during general wage bargaining rounds or subsequent local negotiations have been significantly influenced by developments in the sectoral distribution of incomes. Hence, it cannot be excluded that attempts will be made by organised labour to re-establish previous income differentials, thereby aggravating the task of restoring better price stability;

(*b*) the "commitment" of the Government to ensure through fiscal measures a certain rise in real disposable wages and other incomes, reduces the scope for timely adjustments of budgetary policy. Thus, if a tripartite agreement leads to, or is followed by a situation of excess demand pressure, the possibility of tightening fiscal policy is rather limited since taxes, transfers and subsidies are tied to the guaranteed income developments, and public spending on goods and services is difficult to change in the short run;

(*c*) due to the fact that the publication of data on actual earnings is considerably lagging behind that of price data, there is a built-in tendency during the business upswings for income guarantees to lead to higher real wages than envisaged at the time of a settlement. Stronger than anticipated price increases tend to prompt the authorities to increase subsidies even though subsequent data for wagedrift may reveal that total real wage earnings were advancing at a faster rate than was consistent with general stabilisation aims.

In these circumstances the task of preventing excess demand pressure from developing in the short run falls to a large extent upon monetary policies. With about half of the domestic credit supply provided by State Banks and other public sector transactions, the authorities have a high degree of control on monetary developments. However, given the fact that State Bank loan commitments are usually determined a year in advance of the actual lending, the instruments available for short-term adjustments affect only a small—and diminishing—part of the overall credit and money supply. Indeed, when restrictive measures have been taken in the past the growth of monetary aggregates has usually remained high for quite some time. This has been particularly evident in periods of large fiscal stimuli and heavy loan commitments on the part of the central government. The absence of a well-developed bond and capital market implies that the first-round liquidity impact of the central government's "deficit spending" is almost wholly reflected in increases of the overall money supply. Hence, monetary policy is largely confined to reducing the credit multiplier through adjustments of obligatory bond holding requirements. As noted in earlier OECD Surveys, interest rate variations are used only to a limited extent as an active instrument of monetary policy. Thus, an excessive growth in demand for credit can only be countered by reducing the availability of liquidity. This tends to create imbalances between supply and demand which may, over time, impair an efficient allocation of credits and resources. On these considerations some changes in monetary management, including more flexible interest rate policies, could probably contribute to ensuring continued success of stabilisation policies and facilitate a smooth adjustment of the overall credit supply to the expected large positive swing of the current external balance over the medium term.

Annex

CHRONOLOGY OF MAIN ECONOMIC POLICY EVENTS

1975

September

The Government proposes a number of expansionary measures, of which the most important are:

(*i*) extraordinary appropriations for public works projects on State and local levels (Kr. 0.3 billion);
(*ii*) increase in the State banks' loan commitment budgets for 1975 (Kr. 0.7 billion) and advancement of 10 per cent of next year's lending quotas to 1975;
(*iii*) additional liquidity loans to industry (Kr. 0.2 billion);
(*iv*) scheme for supporting stockbuilding, according to which subsidies can amount to 75 per cent of the interest costs arising from loans for stock financing in the period 1st July 1975 - 1st July 1976.

Tripartite settlement reached to compensate for the price increases from 15th November 1974 - 15th September 1975.

October

The National Budget for 1976 submitted to the Parliament stressing the need for an expansionary policy in the beginning of the year. Apart from some acceleration in the rate of expenditure increases, the Government proposes a reduction in direct taxes from 1st January, while indirect taxes on alcohol and tobacco are to be increased.

Changes in the proposed stock-financing scheme. According to the new proposal, the level of stocks by 31st March 1975 is to be taken as a starting point and the subsidies are determined as a percentage of the increase in stocks regardless of the financing form but subject to the condition that employment is not reduced. The subsidies will amount to 3.5 per cent of the increase in stocks until 31st March 1976, and if the level of employment is not reduced before 1st July, 1976, 5.5 per cent of the increase in stocks will be covered by subsidies.

November

Introduction of a temporary loan guarantee scheme for the shipping sector.

1976

March

Revised budget for 1976 presented to the Parliament. Due to the vital part played by the Government in bringing about the coordinated wage and income settlement, a number of tax measures are proposed:

1 reduction in taxes on personal incomes,
2 lowering of the employers' contribution to the Social Security Scheme,
3 temporary increase in food subsidies prolonged,
4 increase in other family allowances.

In total, the proposed measures were estimated to lower revenues by Kr. 1.9 billion and together with the higher subsidies reduce the surplus on the government and social security budget by some Kr. 2.5 billion as compared with the Preliminary National Budget. As for monetary policy, credit supply guidelines are increased somewhat (5 per cent), but a gradual tightening is still planned for the second half of the year.

April

A Tripartite Agreement concluded with the following main elements:

(*a*) full compensation for the general reduction in the working week from 42½ to 40 hours, effective from 1st April;

(*b*) beyond this, nominal wage increase of:
— 3.7 per cent for workers in manufacturing industries,
— 6.8 per cent for central government employees;

(*c*) transfers to pensioners increased to produce a 5-7 per cent increase in real disposable income;

(*d*) farm incomes to be raised, with first year increases amounting to Kr. 1.8 billion (equal to some 50 per cent of factor incomes in agriculture in 1975).

The wage contracts cover a two-year period, but are, in the absence of an indexation clause, to be renegotiated after the first contract year.

May

The Tripartite Agreement formally accepted by all organisations and the fiscal policy measures proposed in the revised budget subsequently enacted by Parliament.

July

Reserve requirements reintroduced for commercial banks in Southern Norway, with the initial ratio fixed at 3½ percent. At the same time, compulsory bond holding requirements for banks were tightened. According to the new regulations, the maximum size of the bond portfolio in relation to total assets was raised from 23 to 25 per cent, while the obligations to increase bond-portfolios by 33 per cent of the increase in total assets for banks in Southern Norway and by 15 per cent for banks in Northern Norway were maintained.

August

Reserve requirements extended to include also savings banks. The ratio fixed at 2½ per cent.

September

The discount rate increased from 5 to 6 per cent. Reserve requirements for commercial banks in Southern Norway increased to 4½ per cent.

Partial price freeze introduced to last until the end of the year.

October

National Budget for 1977 presented to Parliament, stressing the need for a more moderate cost and price development. The budget for 1977 proposes an increase in real disposable wage incomes of some 2½ per cent with the budget surplus before loan transactions rising from Kr. 0.8 billion in 1976 to Kr. 1.5 billion in 1977. The main proposals are:

(*a*) employers' social security contributions increased by 1.2 percentage points with effect from 1st May 1977. This measure only concerns firms subject to the highest rate (15.8 per cent) and is expected to have a revenue effect of Kr. 0.7 billion;

(*b*) direct taxes eased in the following way:
  (*i*) exemptions increased by 15 per cent and taxable income brackets adjusted upward by Kr. 4 000-5 000, depending on family status;
  (*ii*) a new children's allowance (Kr. 200 per child, deductible in tax payments) is introduced and traditional children's allowances raised by Kr. 100;
  (*iii*) higher tax exemptions given to households with children and the inheritance and gift taxes reduced and simplified. On an annual basis these measures are expected to lower revenues by Kr. 1.9 billion;

(*c*) an increase in indirect taxes on alcoholic beverages, tobacco, gasoline and cars, with an estimated revenue effect of Kr. 0.3 billion;

(*d*) an increase in certain public charges such as railway and postal fees and electricity prices.

The credit budget assumes a decline in the overall credit supply, mainly due to a sharp reduction in the expected inflow of foreign capital.

November

Reserve requirements for savings banks in Southern Norway increased to 3½ per cent.

Liquidity loans and stock subsidies extended into 1977.

STATISTICAL ANNEX

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Table A **Supply and Use of Resources**
Kr. million, current prices

	1967	1968	1968	1969	1970	1971	1972	1973	1974	1975
			(New SNA)							
Consumers' expenditure on goods and services	34 017	36 533	35 502	39 324	43 814	49 151	54 068	60 101	68 142	80 251
General government current expenditure on goods and services	8 881	9 763	9 931	10 952	12 252	14 368	15 945	18 022	20 893	25 026
Defence	2 075	2 267	2 352	2 550	2 821	3 035	3 215	3 497	3 916	4 608
Civil	6 806	7 496	7 579	8 402	9 431	11 333	12 730	14 525	16 977	20 418
Gross fixed asset formation	24 218	24 144	17 283	17 062	21 378	26 651	27 590	33 097	40 498	52 307
Change in stocks	623	−156	−200	599	3 278	1 862	−156	733	3 821	860
NATIONAL EXPENDITURE	67 739	70 284	62 516	67 937	80 722	92 032	97 447	111 953	133 354	158 444
Exports of goods and services (non-factor)	25 132	27 679	27 490	29 368	33 403	35 808	40 055	48 730	59 847	61 397
Imports of goods and services (non-factor)	25 969	26 031	26 208	27 858	34 431	38 742	39 290	49 272	64 267	71 907
GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES	66 902	71 932	63 798	69 447	79 694	89 098	98 212	111 411	128 934	147 934
Indirect taxes	8 644	9 148	9 172	10 785	14 524	16 571	18 176	20 356	22 688	26 464
Subsidies	2 604	2 862	2 855	3 295	4 269	4 807	5 330	6 075	7 677	9 301
GROSS DOMESTIC PRODUCT AT FACTOR COST	60 862	65 646	57 481	61 957	69 439	77 334	85 366	97 130	113 923	130 771
Depreciation and other operating provisions	13 542	14 889	8 858	9 572	11 044	12 463	13 544	15 289	18 344	21 783
NET DOMESTIC PRODUCT AT FACTOR COST	47 320	50 757	48 623	52 385	58 395	64 871	71 822	81 841	95 579	108 988

Source: Norwegian National Accounts.

Table B **Supply and Use of Resources**
Kr. million, 1970 prices

	1968	1969	1970	1971	1972 (New SNA)	1973	1974	1975
Consumers' expenditure on goods and services	..	..	43 814	46 128	47 605	49 084	51 007	53 447
General government current expenditure on goods and services	..	..	12 252	12 914	13 412	14 007	14 448	15 100
Defence	..	..	2 821	2 749	2 760	2 796	2 750	2 860
Civil	..	..	9 431	10 165	10 652	11 211	11 698	12 240
Gross fixed asset formation	..	..	21 378	25 311	24 332	27 657	29 620	33 037
Change in stocks	..	..	3 278	1 954	24	142	2 816	1 648
NATIONAL EXPENDITURE	..	..	80 722	86 307	85 373	90 890	97 891	103 232
Exports of goods and services (non-factor)	..	..	33 403	33 767	38 509	41 705	41 899	42 397
Imports of goods and services (non-factor)	..	..	34 431	36 640	36 270	41 506	43 842	46 516
GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES	..	..	79 694	83 434	87 612	91 089	95 948	99 113
Depreciation and other operating provisions	..	..	11 044	11 803	12 168	12 844	13 519	14 524
NET DOMESTIC PRODUCT AT MARKET PRICES	..	..	68 650	71 631	75 444	78 245	82 429	84 589

Source: Norwegian National Accounts.

Table C **Gross Domestic Product by Industry of Origin**
Kr. million, current prices

	1968	1969	1970	1971	1972	1973	1974	1975
				(New SNA)				
Agriculture, forestry and fishing	4 060	4 037	5 202	5 770	5 692	6 402	7 634	7 831
Mining and quarrying, incl. oil exploitation[1] Manufacturing Electricity, gas and water	15 685	17 634	20 557	22 580	25 356	28 526	33 543	42 517
Construction, incl. oil drilling	5 111	5 738	6 540	7 356	7 971	8 503	9 945	11 729
Maritime transport	6 534	6 222	7 305	7 654	7 931	9 591	10 917	8 137
Other transport and communications	3 962	4 389	5 221	5 767	6 617	7 280	8 412	9 524
Wholesale and retail trade	12 556	14 149	14 773	16 721	18 419	21 379	24 760	28 372
Banking and insurance Ownership of dwellings and business buildings Restaurants and hotels Commercial buildings	6 666	7 049	8 654	9 766	10 884	12 160	14 234	16 559
Community, social and personal services	10 493	11 693	13 151	15 499	17 658	20 328	23 123	27 626
less: Imputed bank service change	1 269	1 464	1 709	2 015	2 316	2 758	3 634	4 361
GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES	63 798	69 447	79 694	89 098	98 212	111 411	128 934	147 934

1 Including pipeline transportation of oil.
Source: Norwegian National Accounts.

Table D **Gross Domestic Product by Industry of Origin**
Kr. million, 1970 prices

	1968	1969	1970	1971	1972	1973	1974	1975
				(New SNA)				
Agriculture, forestry and fishing	..	..	5 202	5 396	5 442	5 427	5 680	5 579
Mining and quarrying, incl. oil exploitation[1] Manufacturing Electricity, gas and water	..	..	20 557	21 420	22 837	23 948	25 112	27 031
Construction, incl. oil drilling	..	..	6 540	6 839	6 929	7 017	7 420	7 998
Maritime transport	..	..	7 305	7 191	7 882	8 526	9 106	7 904
Other transport and communications	..	..	5 221	5 494	5 728	5 855	6 265	6 168
Wholesale and retail trade	..	..	14 773	16 012	16 806	17 514	18 874	19 920
Banking and insurance Ownership of dwellings and business buildings Restaurants and hotels Commercial buildings	..	..	8 654	8 944	9 110	9 171	9 514	9 948
Community, social and personal services	..	..	13 151	13 938	14 734	15 530	15 906	16 559
less: Imputed bank service change	..	..	1 709	1 800	1 856	1 899	1 929	1 994
GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES	..	..	79 694	83 434	87 612	91 089	95 948	99 113

1 Including pipeline transportation of oil.
Source: Norwegian National Accounts

Table E **General Government Income and Expenditure**[1]

Kr. million

	1967	1968	1968	1969	1970	1971	1972	1973	1974	1975
			(New SNA)							
CURRENT REVENUE	24 639	27 009	25 969	29 790	34 528	41 370	47 745	55 495	62 906	74 276
Indirect taxes	9 248	9 840	9 172	10 785	14 524	16 502	18 161	20 356	22 688	26 464
Social security contributions	5 136	5 901	6 047	6 708	7 572	10 132	12 455	15 331	17 026	20 064
Other direct taxes	8 342	9 051	9 410	10 655	10 566	12 775	14 896	17 372	19 986	24 076
Income from property and entrepreneurship	960	1 170	1 323	1 623	1 846	1 938	2 202	2 398	3 163	3 624
Other current transfers	953	1 047	17	19	20	23	31	38	43	48
CURRENT EXPENDITURE	20 187	22 655	21 404	24 161	29 423	34 694	39 248	44 691	51 931	61 990
Purchase of goods and services:	10 327	11 388	9 931	10 952	12 252	14 371	15 955	18 022	20 893	25 026
Defence	2 075	2 267	2 352	2 550	2 821	3 035	3 215	3 497	3 916	4 736
Civil	8 252	9 121	7 579	8 402	9 431	11 336	12 740	14 525	16 977	20 290
Subsidies	2 655	2 917	2 855	3 295	4 269	4 760	5 352	6 075	7 677	9 301
Interest on the public debt	724	827	1 092	1 218	1 430	1 684	1 923	2 248	2 638	3 114
Current transfers:	6 481	7 523	7 526	8 696	11 472	13 879	16 018	18 346	20 723	24 549
To households, etc.	6 374	7 357	7 360	8 474	11 173	13 606	15 634	17 896	20 055	23 667
To the rest of the world	107	166	166	222	299	273	384	450	668	882
NET CURRENT SAVING	4 452	4 354	4 565	5 629	5 105	6 676	8 497	10 804	10 975	12 286
Depreciation and other operating provisions	343	389	419	470	570	667	760	857	1 014	1 191
GROSS SAVING	4 795	4 743	4 984	6 099	5 675	7 343	9 257	11 661	11 989	13 477
Gross fixed asset formation[2]	2 727	2 866	2 855	3 396	3 578	4 207	5 014	5 315	6 307	7 000[3]
SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT (FINANCIAL SAVING)	2 068	1 877	—	—	—	—	—	—	—	—
Capital transfers to other sectors, net	144	168	—	—	—	—	—	—	—	—
Net lending, etc.	1 924	1 709	2 129	2 703	2 097	3 136	4 243	6 346	5 682	6 477

1 According to the OECD definition.
2 For new SNA net purchases of land included.
3 Secretariat estimates.

Source: Norwegian submission to the OECD.

Table F **Balance of Payments**
Kr. million

	1970	1971	1972	1973	1974	1975
Exports of goods, fob	15 536	16 319	18 235	22 219	28 789	32 296
Imports of goods, cif	−23 673	−25 347	−25 761	−31 427	−43 979	−47 499
TRADE BALANCE[1]	−8 137	−9 028	−7 526	−9 208	−15 190	−15 203
Exports of new ships	810	1 060	1 316	1 381	2 008	2 515
Services other than shipping services, net	118	−292	−424	−885	−1 606	−2 870
Interest and transfer payments, net (excl. shipping)	−414	−303	−582	−738	−1 362	−1 755
CURRENT BALANCE (excl. shipping)	−7 623	−8 563	−7 216	−9 450	−16 150	−17 313
Net freight earnings	7 790	8 295	8 635	10 255	11 255	8 685
Exports of second-hand ships	1 369	802	2 242	3 799	4 072	2 946
Imports of ships	−2 978	−3 771	−3 478	−5 884	−4 959	−6 583
Interest and transfer payments, net (shipping)	−286	−446	−570	−722	−1 043	−1 005
SHIPPING SECTOR, net	5 895	4 880	6 829	7 448	9 325	4 043
CURRENT BALANCE	−1 728	−3 683	−387	−2 002	−6 825	−13 270
Government borrowing, net	100	1	180	2	91	4 729
Financial institutions, net	−64	96	296	68	−8	391
Other private, net	940	2 360	1 470	4 882	5 508	8 410
of which:						
Shipping sector, net	969	1 649	1 261	4 204	1 705	2 147
Direct investment, net	222	434	799	926	1 105	159
Other private and public enterprises, net	328	1 076	803	1 578	3 175	6 606
Others, net	−579	−799	−1 393	−1 826	−477	−502
BASIC BALANCE	−752	−1 226	1 559	2 950	−1 234	260
SDR allocations	180	184	184	—	—	—
Other capital inflow, net[2]	1 197	293	−565	−760	1 234	1 110
Changes in foreign exchange reserves	625	−749	1 178	2 190	—	1 370

1 Excl. ships.
2 Incl. short-term capital transactions, errors and omissions, changes in foreign debt and exchange position not caused by transactions.
Source: Statistical Yearbook 1976.

Table G **Labour Market and Employment**

	Labour market		Employment									
	Registered unemployment	Jobs vacant[1]	1 000 man-years[2]		Employees (1 000 persons)[3]							
	1 000 persons	Thousands	Self employed	Employees	Total	Agriculture, forestry, fishing	Mining and manufacturing	Building and construction	Commerce	Maritime transp., other transport and commun.	Public adm.	Other
1967	11.4	7.2	351	1 188	1 139	30	371	107	161	136	44	290
1968	16.5	5.1	305	1 218	1 152	28	370	105	166	135	45	303
1969	15.6	5.9	294	1 234	1 173	26	374	108	170	133	47	315
1970	12.5	9.6	281	1 266	1 207	25	386	111	176	131	49	329
1971	12.2	10.7	268	1 290	..	..	..	..	..	..	..	..
1972	14.8	8.5	254	1 311	1 649	201	402	145	230	162	78	431
1973	12.8	8.2	251	1 320	1 654	189	401	142	234	163	76	449
1974	10.7	9.9	245	1 346	1 659	175	402	147	242	163	71	459
1975	19.3	6.0	241	1 358	1 694	172	416	148	230	156	84	488

1 Averages of number of unfilled vacancies at the end of the month.
2 From 1968 new system of national accounts.
3 The previous employment statistics were discontinued in 1970. Figures from 1972 represent Labour Market Survey estimates.

Sources: Norwegian National Accounts, Economic Surveys, Monthly Bulletin of Statistics.

Table H **Production by Sector**

	Mining and manufacturing							
	Industrial production[1], 1970 = 100							
	Total	By sector of production		By destination				
		Mining	Manufacturing	Exports	Consumption	Investment	Input in building and construction	Other input
1967	89	83	89	87	94	91	84	90
1968	92	86	91	91	96	89	86	93
1969	96	96	96	97	99	93	94	96
1970	100	100	100	100	100	100	100	100
1971	104	111	104	102	102	106	107	104
1972	110	150	107	106	105	110	113	108
1973	116	151	113	114	108	116	122	113
1974	120	153	117	118	110	124	129	116
1975	128	454	114	123	109	127	127	114

1 Averages of monthly figures.

Source: Norwegian Monthly Bulletin of Statistics.

Table I Foreign Trade, Total and by Area

$ million, monthly rates

	Imports, cif							Exports, fob						
	Total	OECD countries			Non-OECD countries			Total	OECD countries			Non-OECD countries		
		Total	Europe		Sino-Soviet area	Other developed countries	Developing countries		Total	Europe		Sino-Soviet area	Other developed countries	Developing countries
			EEC	Others						EEC	Others			
1967	229.0	202.6	104.4	56.6	7.3	0.4	18.7	144.8	123.2	73.5	34.2	4.7	0.9	15.9
1968	225.5	196.3	98.9	56.4	6.9	0.6	21.7	161.5	135.4	80.8	37.7	4.9	0.7	20.4
1969	245.2	214.4	114.9	62.2	6.4	0.7	23.7	183.6	157.0	92.2	48.0	5.2	1.1	20.3
1970	308.1	269.4	134.1	83.6	7.4	0.7	30.6	204.6	179.4	112.7	51.3	6.0	1.3	17.9
1971	340.8	289.3	146.6	89.2	14.2	0.9	36.4	213.7	189.5	115.5	54.3	6.0	1.3	16.9
1972	364.4	317.4	163.7	97.1	11.8	1.5	33.6	273.4	234.1	137.2	70.9	10.1	1.0	28.2
1973	518.2	451.6	234.2	128.1	15.6	2.5	48.6	390.0	318.9	184.7	101.6	13.7	1.5	55.9
1974	703.1	598.3	294.3	179.8	19.7	2.7	82.4	524.3	430.2	246.4	142.4	22.4	4.1	67.7
1975	806.2	695.4	352.7	215.6	21.5	3.8	85.5	599.6	499.1	310.5	141.6	32.0	3.1	65.4

Source: OECD Foreign Trade Statistics, Series A.

Table J Prices and Wages

	Consumer prices[1]			Wholesale prices, 1961 = 100				Average hourly earnings Kroner	
	Total	*of which:*		Total	Consumer goods	Investment goods	Input	Industry	
		Food	Rent, heating and light					Males	Females
1967	96.6	97	96	114	117	109	113	10.37	7.70
1968	100.0	100	100	115	119	110	114	11.21	8.38
1969	103.1	104	103	119	122	111	118	12.28	9.19
1970	114.0	117	115	127	129	117	127	13.75	10.32
1971	121.1	125	122	133	136	123	134	15.45	11.65
1972	129.8	133	129	137	144	129	136	16.82	12.82
1973	139.5	143	138	148	154	135	147	18.61	14.18
1974	152.6	155	154	175	171	147	183	21.83	16.75
1975	111.7	115	110	192	190	167	198	26.15	20.41

1 Index affected by the increase in indirect taxes in January 1970. 1968 = 100 up to 1974, 1974 = 100 from 1975.
Source: Norwegian Monthly Bulletin of Statistics.

Table K Money and Credit

Kr. million

	Liquidity supply			Money supply (IMF def.)[1]		Quasi-money (savings deposits)	Treasury deposits with Central Bank	Domestic lending by financial institutions								
	Total	Due to trans. by		Orig.	Adj.			Total[2]	Central Bank	Commercial banks	Savings banks	State banks	Insurance companies	Mortgage credit institutions	Private financial institutions	Postal savings banks
		Central Govt.	Central Bank	Kr. 1 000 million												
	During period			End of period												
1967	318	−985	1 303	12.26	11.40	20.52	1 676	43 232	283	11 305	9 120	12 016	4 673	3 707	1 172	493
1968	424	92	332	14.12	13.10	22.64	1 061	47 680	163	12 166	10 046	13 783	4 997	4 060	1 386	523
1969	120	−243	363	15.27	14.15	25.32	1 170	53 827	329	13 842	11 352	15 600	5 550	4 550	1 663	559
1970	737	−173	910	17.20	15.93	29.50	1 455	60 536	126	15 108	12 620	17 967	6 067	5 404	2 332	583
1971	2 023	−243	2 266	19.18	17.74	33.41	1 827	68 399	209	17 000	14 040	20 863	6 551	6 364	2 760	619
1972	1 099	−1 347	2 446	22.30	20.61	37.04	2 859	77 251	1 008	19 323	15 570	24 407	7 094	7 156	3 057	660
1973	997	−1 217	2 214	25.75	23.75	41.65	3 604	87 605	1 410	21 708	17 546	28 157	7 773	8 275	3 180	817
1974	539	−1 215	1 754	28.81	26.53	46.16	3 433	99 039	2 065	24 283	19 942	31 871	8 621	9 449	3 410	981
1975	191	2 123	−1 932	33.65	30.99	52.94	3 371	114 690	1 266	28 572	22 805	37 166	9 508	11 263	3 455	1 243

1 Notes in circulation and demand deposits with the bankings system.
2 Breakdown does not add up total.

Source: Norwegian Monthly Bulletin of Statistics.

	Domestic credit by borrowing sector								The security market		Gold and foreign exchange holdings		
	Total	Agriculture, forestry, fishing and whaling	Mining and manuf.	Elec., gas and water works	Commerce	Real estate and private persons	Shipping	Other industries	Bond issues: Domestic and foreign currency	Share issues	Total[1]	*of which:* Official (incl. IMF pos.)[2]	Commercial banks and savings
	End of period								During period		$ mill. end of period		
1967	40 867	3 868	7 438	1 459	3 860	19 593	2 435	2 214	2 738	493	735	677	−42
1968	45 080	4 214	8 231	1 657	4 163	21 777	2 330	2 708	3 535	449	957	702	70
1969	50 678	5 625	9 294	1 619	4 767	23 802	2 419	3 152	3 502	459	966	712	−11
1970	56 748	5 840	10 818	1 750	5 286	27 101	2 280	3 673	5 019	640	1 060	813	3
1971	62 353[3]	6 174	12 126	507[3]	5 830	31 235	2 391	4 090	4 640	726	1 042	1 154	−177
1972	69 776	6 559	13 219	615	6 395	35 795	2 154	5 039	5 700	812	1 213	1 325	−200
1973	78 853	6 987	14 174	675	7 186	41 734	2 568	5 529	7 318	1 696	1 805	1 575	−171
1974	89 169	7 551	16 133	455	7 694	47 828	2 710	6 798	8 090	876	1 974	1 916	−329
1975									16 476	1 455	2 085	2 237	−313

1 According to new definition adopted in January 1971.
2 Change in reporting at the beginning of 1964.
3 Break in the series.

Sources : Norwegian Monthly Bulletin of Statistics, Central Bank Economic Bulletin, International Financial Statistics and OECD Main Economic Indicators.

INTERNATIONAL COMPARISONS

	Reference period	Units	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany
POPULATION										
	Mid-1975	Thousands	13 507	7 533	9 801	22 831	5 060	4 707	52 743	61 832
Inhabitants per sq. km	»	Number	2	90	321	2	117	14	96	249
Net average annual increase	Mid-1965 to Mid-1975	%	1.8	0.4	0.4	1.5	0.6	0.3	0.8	0.5
EMPLOYMENT										
Total civilian	1974	Thousands	5 736	3 010	3 801	9 137	2 355	2 220	21 096	25 689
of which: Agriculture, forestry, fishing	»	% of total	6.9	13.0	3.7	6.3	9.6	16.3	11.6	7.3
Industry[3]	»	»	35.1	41.0	41.2	31.1	32.3	36.1	39.2	47.6
Other	»	»	58.0	46.0	55.1	62.6	58.1	47.6	49.2	45.1
GROSS DOMESTIC PRODUCT at market prices	1974	US $ billion	78.39	33.00	53.42	145.30	30.40	22.03	266.10	384.53
Average annual volume growth[5]	1969 to 1974	%	4.2	5.9	5.3	4.8	2.9	5.6	5.3	3.6
Per capita	1974	US $	5 877	4 372	5 466	6 464	6 026	4 712	5 061	6 195
GROSS FIXED CAPITAL FORMATION	1974	% of GDP	24.0[8]	28.0	22.3	23.2	21.9	29.0	25.1	22.5
of which: Machinery and equipment	»	»	9.9[8]	11.2	8.2	8.2	9.1	10.7	12.1	9.8
Residential construction	»	»	4.6[8]	16.8[9]	6.2	5.4	5.5	7.6	7.3	5.3
Average annual volume growth[5]	1969 to 1974	%	1.5[6]	8.1	4.9	6.0	2.0	6.4	5.7	2·0
NATIONAL SAVINGS RATIO[11]	1974	% of GNP	25.5	30.8	26.2	24.0	20.0	33.0	25.5	26.6
GENERAL GOVERNMENT										
Current expenditure on goods and services	1974	% of GDP	15.4[6]	15.3	15.1	19.2	23.2	17.1	13.0	19.7
Current transfer payments	»	»	9.1[6]	14.7	17.8	11.7	15.8	12.6	20.8	16.6
Current revenue	»	»	28.9[6]	38.4	37.9	38.6	47.4	38.7	38.9	41.4
NET OFFICIAL DEVELOPMENT ASSISTANCE	1974	% of GNP	0.6	0.2	0.5	0.5	0.6	0.2	0.6	0.4
INDICATORS OF LIVING STANDARDS										
Private consumption per capita	1974	US $	3 429	2 357	3 256	3 590	3 382	2 317	3 119	3 312
Passenger cars, per 1 000 inhabitants	1973	Number	340	204	245	353	249	191	268[13]	267
Telephones, per 1 000 inhabitants	»	»	355	246	257	528	400	329	217	287
Television sets, per 1 000 inhabitants	»	»	227[13]	237	244	348	304	263	237[12]	298
Doctors, per 1 000 inhabitants	1972	»	1.3[14]	1.9	1.6	1.6	1.6	1.2	1.4	1.8
Access to higher education[15a]	1973	% of relevant age group	30.5	15.7	(28.5)[15]	49.8[13]	35.0	(23.3)	26.4	15.8[15]
Infant mortality[16]	1974	Number	16.1	23.5	16.2	16.8[12]	12.0[13]	10.2	12.0	21.1
WAGES AND PRICES										
Hourly earnings in industry[18]	Average annual increase	%	15.9	13.3	15.8	10.9	17.4	17.8	14.0	9.9
Consumer prices	1970 to 1975	%	10.2	7.3	8.4	7.3	9.3	11.7	8.8	6.1
FOREIGN TRADE										
Exports of goods, fob	1975	US $ million	11 902	7 519	28 809[20]	32 301	8 710	5 503	52 211	90 021
as percentage of GDP	»	%	14.1	20.0	44.7[20]	20.8	24.5	20.7	16.0	21.3
average annual volume increase	1970 to 1975	%	3.9	7.7	5.9[20]	2.8	4.4	–0.4	7.6	6.0
Imports of goods, cif	1975	US $ million	9 988	9 393	30 707[20]	33 955	10 329	7 618	54 241	74 208
as percentage of GDP	»	%	11.9	25.0	47.7[20]	21.8	29.1	28.6	16.6	17.5
average annual volume increase	1970 to 1975	%	2.8	6.8	5.9[20]	7.7	1.2	4.6	5.7	5.5
TOTAL OFFICIAL RESERVES	End-1975	US $ million	3 256	4 439	5 797[20]	5 326	877	470	12 593	31 034
as percentage of imports of goods	In 1975	%	32.6	47.3	18.9[20]	15.7	8.5	6.2	23.2	41.8

	Reference period	Units	Greece	Iceland	Ireland	Italy	Japan	Luxembourg	Netherlands	New Zealand
POPULATION										
	Mid-1975	Thousands	9 046	218	3 127	55 812[2]	110 950	359	13 654	3 104
Inhabitants per sq. km	»	Number	69	2	44	185	298	138	404	12
Net average annual increase	Mid-1965 to Mid-1975	%	0.6	1.3	0.8	0.7	1.2	0.8	1.1	1.7
EMPLOYMENT										
Total civilian	1974	Thousands	(3 170)	93	1 047	18 715	52 010	151	4 579	1 180
of which: Agriculture, forestry, fishing	»	% of total	(36.2)	16.9	24.3	16.6	12.9	6.4	6.6	12.0
Industry[3]	»	»	(27.8)	37.2	31.1	44.1	37.0	49.2	35.5	34.7
Other	»	»	(36.0)	45.9	44.6	39.3	50.1	44.4	57.9	53.3
GROSS DOMESTIC PRODUCT at market prices	1974	US $ billion	19.17	1.39	6.73	149.81	455.30	2.13	69.18	13.36
Average annual volume growth[5]	1969 to 1974	%	5.4	6.2	3.3	3.9	7.1	4.1	4.5	3.8
Per capita	1974	US $	2 139	6 465	2 180	2 706	4 152	5 987	5 109	4 388
GROSS FIXED CAPITAL FORMATION	1974	% of GDP	21.7[7]	32.5	24.9	23.4	34.3	25.5	22.2	26.3[8]
of which: Machinery and equipment	»	»	8.7	9.6	10.5	10.5	12.5	8.6	9.4	..
Residential construction	»	»	4.4	7.3	6.3	7.1	8.0	6.3	5.7	..
Average annual volume growth[5]	1969 to 1974	%	0.7	15.3	3.7	2.4	6.9	5.9	2.1	..
NATIONAL SAVINGS RATIO[11]	1974	% of GNP	18.0	23.5	12.8	18.9	37.3	34.5	27.3	22.2
GENERAL GOVERNMENT										
Current expenditure on goods and services	1974	% of GDP	13.6	10.4	17.6	14.0	9.9	12.1	17.2	16.7[8]
Current transfer payments	»	»	9.8	14.7	17.6	19.6	5.7	19.9	26.6	..
Current revenue	»	»	24.2	..	35.1[12]	32.6	24.7	44.3	51.4	..
NET OFFICIAL DEVELOPMENT ASSISTANCE	1974	% of GNP	..	..	..	0.2	0.3	..	0.6	0.3
INDICATORS OF LIVING STANDARDS										
Private consumption per capita	1974	US $	1 517	4 079	1 542	1 782	2 185	3 199	2 860	2 633
Passenger cars, per 1 000 inhabitants	1973	Number	39	239[13]	157	243	133	339	239	350
Telephones, per 1 000 inhabitants	»	»	187	381	120	229	357	382	320	475
Television sets, per 1 000 inhabitants	»	»	58[13]	220[13]	176	208	229	227[14]	258	304
Doctors, per 1 000 inhabitants	1972	»	1.7	1.4[14]	1.2	1.9	1.2	1.1	1.4	1.2
Access to higher education[15a]	1973	% of relevant age group	..	..	..	27.9	23.8[15]	..	20.5[14]	..
Infant mortality[16]	1974	Number	23.9	9.6[12]	17.8[12]	22.6	10.8	13.5[13]	11.2	15.5
WAGES AND PRICES										
Hourly earnings in industry[18]	Average annual increase	%	16.8	34.0[19]	19.7	17.5	18.6	..	13.8[10]	13.7
Consumer prices	1970 to 1975	%	12.4	24.7	13.3	11.3	11.5	7.2	8.6	10.2
FOREIGN TRADE										
Exports of goods, fob	1975	US $ million	2 293	308	3 211	34 830	55 753	—	34 440	2 148
as percentage of GDP	»	%	10.9	25.7	41.2	20.2	11.4	—	42.4	16.9
average annual volume increase	1970 to 1975	%	14.6	..	7.1	6.2	9.9	—	7.0	–1.3
Imports of goods, cif	1975	US $ million	5 317	487	3 807	38 364	57 863	—	35 145	2 912
as percentage of GDP	»	%	25.3	40.6	48.8	22.3	11.8	—	43.3	22.9
average annual volume increase	1970 to 1975	%	6.7	..	2.7	0.8	4.1	—	3.9	9.1
TOTAL OFFICIAL RESERVES	End-1975	US $ million	931	47	1 532	4 774	12 815	—	7 109	428
as percentage of imports of goods	In 1975	%	17.5	9.7	40.2	12.4	22.1	—	20.2	14.7

	Reference period	Units	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[1]
POPULATION											
	Mid-1975	Thousands	4 007	9 448	35 219	8 196	6 403	40 063	56 042	213 631	21 352
Inhabitants per sq. km	»	Number	12	106	70	18	155	51	230	23	83
Net average annual increase	Mid-1965 to Mid-1975	%	0.7	0.5	0.9	0.6	0.7	2.5	0.3	1.0	(0.9)
EMPLOYMENT											
Total civilian	1974	Thousands	1 659	3 081	12 860	3 962	2 943	14 868	24 767	85 936	8 023[3]
of which: Agriculture, forestry, fishing	»	% of total	10.5	28.2	23.1	6.7	7.6	64.1	2.8	4.1	47.6
Industry[3]	»	»	34.2	33.6	37.2	37.0	47.0	14.8	42.3	(31.0)	21.9
Other	»	»	55.3	38.2	39.7	56.3	45.4	21.1	54.9	(64.9)	30.5
GROSS DOMESTIC PRODUCT at market prices	1974	US $ billion	23.30	13.32	85.50	56.10	47.29	29.43	188.99	1 411.33	27.81
Average annual volume growth[5]	1969 to 1974	%	4.2	6.4	6.4	3.2	3.6	6.8	2.7	2.7	6.6
Per capita	1974	US $	5 847	1 517	2 446	6 878	7 340	748	3 371	6 660	1 315
GROSS FIXED CAPITAL FORMATION	1974	% of GDP	32.1	19.3	25.0	22.0	26.1	20.7	20.1	17.5	24.8
of which: Machinery and equipment	»	»	12.0	7.7	9.2	9.2	9.3	6.4	8.8	6.8	9.6
Residential construction	»	»	5.3	4.0	6.8	4.5	..	4.8	3.9	3.9	6.6
Average annual volume growth[5]	1969 to 1974	%	8.9[10]	10.3	7.7[10]	2.3	3.4	8.3	1.2	1.6	7.6
NATIONAL SAVINGS RATIO[11]	1974	% of GNP	30.4	13.5[12]	22.5	23.3	32.0	19.0	17.0	17.7	..
GENERAL GOVERNMENT											
Current expenditure on goods and services	1974	% of GDP	16.5	14.5	9.5	23.6	12.0	14.1	20.5	18.8	15.7
Current transfer payments	»	»	22.4	7.6	12.0	18.7	13.9	..	14.8	9.9	..
Current revenue	»	»	48.5	23.0	23.1	49.4	35.8	27.5[13]	40.0	30.2[12]	31.5
NET OFFICIAL DEVELOPMENT ASSISTANCE	1974	% of GNP	0.6	..	..	0.7	0.1	..	0.4	0.3	..
INDICATORS OF LIVING STANDARDS											
Private consumption per capita	1974	US $	3 056	1 089	1 444	3 647	4 299	568	2 142	4 148	679
Passenger cars, per 1 000 inhabitants	1973	Number	230	90	109	307	260	6	244	478	54
Telephones, per 1 000 inhabitants	»	»	329	109	181	594	560	21	340	657	48
Television sets, per 1 000 inhabitants	»	»	249	66	164	339	253	7	309	523	121
Doctors, per 1 000 inhabitants	1972	»	1.5	1.0	1.4	1.5	1.7	0.5	1.3	1.7	1.1
Access to higher education[15a]	1973	% of relevant age group	39.2	(9.8)	27.1[13]	(31.1)[13]	..	..	21.5[13]	43.9	16.1[14]
Infant mortality[16]	1974	Number	10.4	44.8[12]	13.6	9.6	12.8[12]	153.0[17]	16.7	17.6[12]	45.0
WAGES AND PRICES											
Hourly earnings in industry[18]	Average annual increase	%	13.7	16.3	20.4	11.3	9.5	18.2	15.9	7.4	..
Consumer prices	1970 to 1975	%	8.2	15.1	12.1	8.0	7.7	..	13.0	6.3	20.4
FOREIGN TRADE											
Exports of goods, fob	1975	US $ million	7 196	1 935	7 683	17 406	12 957	1 401	43 756	107 652	4 072
as percentage of GDP	»	%	25.4	13.2	7.6	25.2	24.1	4.0	19.2	7.2	12.3
average annual volume increase	1970 to 1975	%	5.5	..	9.2	3.2	3.0	–0.4	5.4	7.3	4.8
Imports of goods, cif	1975	US $ million	9 675	3 827	16 261	18 049	13 303	4 641	53 252	96 940	7 697
as percentage of GDP	»	%	34.2	26.1	16.1	26.1	24.7	13.1	23.4	6.4	23.3
average annual volume increase	1970 to 1975	%	4.4	..	7.7	3.4	–0.4	15.6	4.4	2.3	6.0
TOTAL OFFICIAL RESERVES	End-1975	US $ million	2 237	1 534	6 090	3 077	10 428	1 064	5 459	15 883	871
as percentage of imports of goods	In 1975	%	23.1	40.1	37.5	17.0	78.4	22.9	10.3	16.4	11.3

1 Partly from national sources.
2 Total resident population.
3 Private and socialised sector.
4 According to the definition used in OECD: Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
5 At constant (1970) prices.
6 Fiscal year beginning July 1st.
7 Excluding ships operating overseas.
8 Fiscal year beginning April 1st.
9 Total construction.
10 1970 to 1974.
11 $\frac{\text{GNP} - (\text{Priv. cons.} + \text{Pub. cons.})}{\text{GNP}} \cdot 100.$
12 1973.
13 1972.
14 1971.
15 1970.
15a Figures are not strictly comparable due to differences in coverage. For more details see "Educational Statistics Yearbook - Volumes 1 and 2, 1974 and 1975 - OECD, Paris."
16 Deaths in first year per 1 000 live births.
17 1967.
18 Figures are not strictly comparable due to differences in coverage.
19 1971 to 1975.
20 Including Luxembourg.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries: OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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